CURRENT ISSUES QB: IMPORTANT

FRM Part II | Book 5, Study Session 15: Current Issues in Financial Markets | Readings 103, 104, 105, 107 (Important tier)

Contents. 87 original questions across the four Important Current Issues readings: Global Financial Stability Report (geopolitical risk), Monetary and Fiscal Policy, Regulating the Crypto Ecosystem, and Digital Resilience. Five questions per learning objective, with two content-heavy LOs carrying more. Built to the Section 5B blueprint with trap patterns modeled on the GARP PE1/PE2 structure. Interleaved format: each question is immediately followed by its full solution. Every wrong option is traceable to a named operator, shown in **ORANGE** in each TRAP block.

Reading	Title	Priority	Questions	Range
Reading 103	Global Financial Stability Report	IMPORTANT	32	Q1 to Q32
Reading 104	Monetary and Fiscal Policy: Safeguarding Stability and Trust	IMPORTANT	15	Q33 to Q47
Reading 105	Regulating the Crypto Ecosystem: The Case of Unbacked Crypto Assets	IMPORTANT	25	Q48 to Q72
Reading 107	Digital Resilience and Financial Stability: The Quest for Policy Tools	IMPORTANT	15	Q73 to Q87
TOTAL			**87**	**Q1 to Q87**

Status: BUILT, NOT RECALLED. No question counts toward EXAM-READY until answered closed-book. Drill protocol: confidence gate (50/70/90) before checking each answer; sub-90% or any miss triggers full distractor autopsy. Pace: Current Issues is fully qualitative, so target under 2.0 min/question against the 2.5 min budget.

Why this section matters. Current Issues changes completely every year, which means most candidates under-prepare it and most third-party banks under-cover it. Its purely qualitative nature lets GARP span a wide territory of learning objectives with few questions. Treated seriously, it is the highest-return free-point section on the paper.

READING 103: GLOBAL FINANCIAL STABILITY REPORT

Priority: IMPORTANT | 32 questions | Book 5, Study Session 15

LO 103.a Reading 103

Identify and explain the key channels through which geopolitical risk influences asset prices and financial stability and discuss policy measures to address potential consequences.

Q1. Reading 103 | LO 103.a

A financial stability economist presents the transmission of geopolitical risk to asset prices. Which pair best describes the two primary channels?

(a) Fiscal and monetary channels.
(b) Economic and market sentiment channels.
(c) Regulatory and demographic channels.
(d) Technological and structural channels.

ANSWER: (b)

CONCEPT TESTED: the two-channel framework. Intuition: one channel is the real damage (trade, capital flows, production capacity); the other is the fear itself (uncertainty, risk aversion, lost confidence), which can move prices even with no shot fired.

SOLUTION: (b) is correct. The economic channel and the market sentiment channel are the two primary transmission routes.

OPTION ANALYSIS:
(a) Incorrect. Fiscal and monetary policy are response tools, not the named transmission channels.
(b) Correct. As established in the solution above.
(c) Incorrect. Neither is a named channel.
(d) Incorrect. Neither is a named channel.

TRAP:
(a) **SIBLING SWAP**
(c) **SIBLING SWAP** (fabricated pair)
(d) **SIBLING SWAP**

Book 5, Reading 103, Module 103.1, LO 103.a | Known GARP-style template (mirrors Schweser Module Quiz 103.1 Q1 structure) | Qualifier: "best describes"

Q2. Reading 103 | LO 103.a

Following an escalation in regional tensions, oil and grain prices rise while equities and sovereign bonds in the affected region fall, and governments increase military spending against reduced fiscal revenues. These effects run primarily through:

(a) The economic channel.
(b) The market sentiment channel.
(c) The safe-haven channel.
(d) The contagion channel.

ANSWER: (a)

CONCEPT TESTED: channel attribution for real disruptions. Intuition: physical supply concerns and fiscal strain are tangible, not psychological, so this is the economic channel; the 2022 invasion of Ukraine is the reading's example.

SOLUTION: (a) is correct. Trade, capital flow, and production disruptions plus elevated sovereign debt burdens define the economic channel.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Sentiment covers uncertainty and risk aversion moving valuations absent direct conflict; here the disruptions are physical.
(c) Incorrect. Not one of the two named channels; safe-haven flows are an outcome, not a channel.
(d) Incorrect. Contagion is cross-border spread, not one of the two primary asset-price channels.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 103, Module 103.1, LO 103.a | Scenario classification | Qualifier: "primarily"

Q3.

Reading 103 | LO 103.a

A supervisor advises an emerging market authority on building resilience to geopolitical shocks. Which policy set is most consistent with the reading?

(a) Improving regulatory frameworks, preserving fiscal and monetary flexibility, and deepening financial markets, while financial institutions maintain adequate capital and liquidity buffers.
(b) Fixing asset allocations so portfolios cannot drift during stress.
(c) Relying solely on capital buffers, since they absorb all plausible geopolitical losses.
(d) Focusing exclusively on cutting direct exposures to countries facing geopolitical events.

ANSWER: (a)

CONCEPT TESTED: the policy response set. Intuition: resilience needs room to maneuver (fiscal and monetary flexibility), deeper markets to absorb flows, sound rules, and buffers on both capital AND liquidity.

SOLUTION: (a) is correct. That is the stated country-level plus institution-level policy package.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Fixed allocations limit responsiveness to rising risks.
(c) Incorrect. Capital buffers alone are insufficient; scenario analysis, stress testing, and liquidity management are also needed.
(d) Incorrect. Cutting direct exposures does not address indirect contagion channels or broader market spillovers.

TRAP:
(b) **POLARITY FLIP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 103, Module 103.1, LO 103.a | Known GARP-style template (mirrors Schweser Module Quiz 103.1 Q2 structure) | Qualifier: "most consistent"

Q4.

Reading 103 | LO 103.a

A newly hired analyst argues that geopolitical risk only matters once a conflict actually begins. Which correction is most accurate?

(a) Even the threat of rising geopolitical tensions can depress asset prices and prompt a reallocation of capital flows, weakening financial stability.
(b) He is right: asset prices respond only to realized conflict, not to threats.
(c) Threats matter only for commodity prices, not for equity or bond valuations.
(d) Threats affect only emerging markets, since advanced economies price risk efficiently.

ANSWER: (a)

CONCEPT TESTED: the anticipatory nature of geopolitical risk pricing. Intuition: markets pay for expectations; the storm forecast moves the harbor before the storm arrives.

SOLUTION: (a) is correct. The threat alone can depress prices, reallocate capital flows, and weaken stability.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Denies the stated anticipatory effect.
(c) Incorrect. Narrows a broad valuation effect to one asset class.
(d) Incorrect. Advanced economies are less severely affected but not exempt.

TRAP:
(b) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 103, Module 103.1, LO 103.a | Four-statement audit | Qualifier: "most accurate"

Q5. Reading 103 | LO 103.a

Which scope statement about geopolitical risk is correct as defined in the reading?

(a) It covers adverse effects on financial markets, trade relations, and economic growth arising from major conflicts including wars, terrorist actions, and trade disputes involving tariffs or sanctions.

(b) It is confined to armed military conflict; tariff and sanctions disputes are classified separately as trade policy risk.

(c) It refers only to risks originating in emerging markets.

(d) It excludes terrorism, which is treated as an operational risk event.

ANSWER: (a)

CONCEPT TESTED: the definitional scope. Intuition: the umbrella is wide: shooting wars, terrorism, and economic warfare (tariffs, sanctions) all sit under geopolitical risk.

SOLUTION: (a) is correct. Wars, terrorist actions, and tariff or sanctions disputes are all within scope.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Trade disputes are explicitly inside the definition; the US-China tariff episode is a core case study.
(c) Incorrect. Emerging markets are more severely affected, not the sole domain.
(d) Incorrect. Terrorist actions are named in the definition.

TRAP:
(b) **SCOPE/CONDITION ERROR**
(c) **SCOPE/CONDITION ERROR**
(d) **SCOPE/CONDITION ERROR** (dropped term)

Book 5, Reading 103, Module 103.1, LO 103.a | Definition audit | Qualifier: "correct"

LO 103.b Reading 103

Analyze how global geopolitical risk events affect countries, sectors, and asset classes differently, including their varying impacts on commodity importers and exporters.

Q6. Reading 103 | LO 103.b

Following a major global geopolitical shock that raises energy prices, which country-level outcome pairing is most consistent with the reading?

(a) Commodity-exporting energy producers often benefit from higher prices, while commodity importers typically face currency depreciation and rising sovereign spreads.

(b) Commodity exporters face currency depreciation, while importers benefit from cheaper input costs.

(c) Both exporters and importers benefit, since higher prices lift global nominal activity.

(d) Neither group is materially affected, since energy exposure nets out at the country level.

ANSWER: (a)

CONCEPT TESTED: the exporter-importer asymmetry. Intuition: when the price of the barrel jumps, the seller's terms of trade improve and the buyer's worsen; European importers after the 2022 invasion are the case in point.

SOLUTION: (a) is correct. Exporters gain; importers face depreciation and wider sovereign spreads, increasing vulnerability.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses both sides.
(c) Incorrect. Erases the distributional asymmetry that the LO exists to test.
(d) Incorrect. Effects are pronounced and uneven, not neutral.

TRAP:
(b) **POLARITY FLIP** (double reversal)
(c) **ABSOLUTE-CLAIM TRAP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 103, Module 103.1, LO 103.b | Four-statement audit | Polarity-sensitive: exporters gain, importers lose

Q7. Reading 103 | LO 103.b

A sector strategist classifies expected sector performance during a major geopolitical shock. Which classification is correct?

(a) Defense and energy typically benefit; banking, retail, and utilities typically decline.

(b) Banking and utilities typically benefit; defense and energy typically decline.

(c) All cyclical sectors benefit as government spending rises.

(d) Retail benefits from stockpiling demand, while energy declines on demand destruction.

ANSWER: (a)

CONCEPT TESTED: the sector winners and losers. Intuition: conflict buys weapons and fuel (defense, energy up on spending and prices) and depresses consumption and credit (banking, retail, utilities down).

SOLUTION: (a) is correct. Defense and energy gain; banking, retail, and utilities decline on weaker demand, tighter credit, and valuation pressure.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses both groups.
(c) Incorrect. Cyclicals broadly fall; only defense benefits from the spending channel.
(d) Incorrect. Retail declines and energy rises; both directions flipped.

TRAP:
(b) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR**
(d) **POLARITY FLIP**

Book 5, Reading 103, Module 103.1, LO 103.b | Category-matching audit | Note: US defense firms historically kept stable cash flows during conflicts via steady government contracting

Q8.

Reading 103 | LO 103.b

Event-study evidence cited in the reading indicates that stocks fall by approximately what amount immediately after a major geopolitical event, and by how much for severe events?

(a) About 3% immediately, with severe events causing declines of up to 9%.
(b) About 0.3% immediately, with severe events causing declines of up to 3%.
(c) About 9% immediately, with severe events causing declines of up to 3%.
(d) About 5% immediately, with severe events causing declines of up to 20%.

ANSWER: (a)

CONCEPT TESTED: the event-study magnitudes, held apart from the country-specific shock figure. Intuition: two different statistics live in this reading. Major EVENT study: about 3%, severe up to 9%. Country-specific geopolitical risk SHOCK: about 0.3% on average.

SOLUTION: (a) is correct. Roughly 3% immediately; up to 9% for severe events.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Imports the 0.3% average country-specific shock figure into the event-study slot.
(c) Incorrect. Swaps the immediate and severe magnitudes.
(d) Incorrect. Recycles the 5% emerging-market military-conflict figure and an invented 20% ceiling.

TRAP:
(b) **WRONG INPUT TWIN**
(c) **SIBLING SWAP** (values transposed)
(d) **WRONG INPUT TWIN**

Book 5, Reading 103, Module 103.1, LO 103.b | Magnitude anchors: 3% / 9% event study vs 0.3% country-specific shock

Q9.

Reading 103 | LO 103.b

Ranking geopolitical event types by the severity and persistence of their economic consequences, which statement is most consistent with the reading?

(a) Wars and military interventions produce more severe and longer-lasting consequences than sanctions or trade restrictions, and longer-lasting conflicts produce more persistent effects.
(b) Sanctions and trade restrictions produce more severe and longer-lasting consequences than wars, because they persist by design.
(c) All geopolitical event types produce comparable economic damage; only market sentiment differs.
(d) Since World War II, every major geopolitical event has produced sharp, multi-month equity declines.

ANSWER: (a)

CONCEPT TESTED: the severity ordering by event type, plus the historical base rate. Intuition: bullets do more lasting damage than tariffs, because of loss of life, physical destruction, and prolonged disruption; and most postwar events produced modest, short-lived declines, with the 1973 Arab oil embargo and Iraq's 1990 invasion of Kuwait as the sharp exceptions.

SOLUTION: (a) is correct. Wars exceed sanctions in severity and duration; duration of conflict maps to persistence of effect.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the ordering.
(c) Incorrect. Severity depends materially on event nature.
(d) Incorrect. MOST postwar events produced modest and short-lived declines; the sustained cases are exceptions.

TRAP:
(b) **POLARITY FLIP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 103, Module 103.1, LO 103.b | Four-statement audit | Qualifier: "most consistent"

Q10.

Reading 103 | LO 103.b

Which asset-class response pattern to a major geopolitical shock is correct?

(a) Oil and gold rise; equities fall, especially in emerging markets; safe-haven sovereign bonds appreciate so their yields fall; commodity-importer exchange rates weaken.
(b) Oil and gold fall; equities rise on stimulus expectations; safe-haven bond yields rise.
(c) Safe-haven sovereign bonds appreciate, so their yields rise.
(d) Emerging market equities outperform advanced market equities during global shocks.

ANSWER: (a)

CONCEPT TESTED: the asset-class map, including the price-yield inverse. Intuition: flight to safety bids up safe bonds, and a bond that rises in PRICE falls in YIELD; commodities catch the supply fear; risk assets and importer currencies take the hit.

SOLUTION: (a) is correct. All four legs match the stated pattern.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses commodities, equities, and yields together.
(c) Incorrect. Correct first half, but appreciation means yields FALL; this is the classic price-yield inversion error.
(d) Incorrect. Equity declines are MORE pronounced in emerging markets.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 103, Module 103.1, LO 103.b | Four-statement audit | Polarity-sensitive: bond price UP means yield DOWN

LO 103.c Reading 103

Assess the stock market responses to different domestic and global geopolitical risk events, including Russia's invasion of Ukraine and the U.S.-China trade tensions, and explain the cross-border effects of these events.

Q11.

Reading 103 | LO 103.c

A researcher compares equity market responses across geopolitical shock types. Which set of magnitudes is correct?

(a) Aggregate stock prices fall about 0.3% after a country-specific shock; large regional shocks at least two standard deviations above normal levels can produce losses up to 7 times larger; global shocks affecting multiple countries can be as much as 20 times larger.
(b) Country-specific shocks produce the largest losses, with regional and global shocks progressively smaller.
(c) Aggregate stock prices fall about 3% after a country-specific shock, with global shocks 7 times larger.
(d) Global shocks produce effects about 2 times larger than country-specific shocks.

ANSWER: (a)

CONCEPT TESTED: the escalation ladder of shock scope. Intuition: the wider the shock's reach, the bigger the multiple: local 0.3%, regional up to 7x that, global up to 20x.

SOLUTION: (a) is correct. 0.3% baseline, 7x for two-standard-deviation regional shocks, up to 20x for global shocks.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Inverts the escalation ladder entirely.
(c) Incorrect. Imports the 3% event-study figure as the country-specific baseline and misassigns the 7x multiple to global shocks.
(d) Incorrect. Understates the global multiple by an order of magnitude.

TRAP:
(b) **POLARITY FLIP**
(c) **WRONG INPUT TWIN**
(d) **CALCULATION-SLIP** (magnitude)

Book 5, Reading 103, Module 103.1, LO 103.c | Magnitude anchors: 0.3% / 7x / 20x

Q12.

Reading 103 | LO 103.c

A volatility analyst describes what happens to the CBOE Volatility Index (VIX) and to tail risk following geopolitical shocks, and how long global shock effects persist. Which statement is correct?

(a) The VIX typically spikes and tail risk rises, with global geopolitical event effects persisting for up to six months after the initial shock.
(b) The VIX typically falls as investors rotate to safe havens, while tail risk rises.
(c) The VIX spikes and tail risk falls, since extreme outcomes are already priced.
(d) The VIX spikes but global shock effects dissipate within one week.

ANSWER: (a)

CONCEPT TESTED: the volatility, tail risk, and persistence triple. Intuition: uncertainty raises the price of insurance (VIX up), makes disasters more thinkable (tail risk up), and global shocks leave a mark for as long as half a year.

SOLUTION: (a) is correct. VIX spikes, tail risk rises, effects persist up to six months.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Safe-haven rotation does not suppress the VIX; it spikes.
(c) Incorrect. Tail risk RISES during such periods.
(d) Incorrect. Compresses a six-month persistence into one week.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **SCOPE/CONDITION ERROR** (horizon)

Book 5, Reading 103, Module 103.1, LO 103.c | Four-statement audit | Persistence anchor: up to six months for global events

Q13.

Reading 103 | LO 103.c

Comparing equity impacts of domestic geopolitical risk events with military conflicts in emerging markets, which pairing is correct?

(a) About 1% decline within a month for domestic events, rising to roughly 5% in emerging market economies experiencing military conflict.
(b) About 5% decline within a month for domestic events, falling to roughly 1% in emerging markets experiencing military conflict.
(c) About 0.3% for domestic events, rising to 2.5% in emerging market military conflicts.
(d) About 1% for domestic events, with no additional effect from military conflict in emerging markets.

ANSWER: (a)

CONCEPT TESTED: the domestic-vs-EM-conflict magnitude pair. Intuition: ordinary domestic events cost roughly a percent within a month; add a shooting war in an emerging market and it is roughly five times worse.

SOLUTION: (a) is correct. Approximately 1% domestic, approximately 5% for EM military conflict.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Transposes the two figures.
(c) Incorrect. Substitutes the 0.3% country-specific shock and the 2.5% proximity or subsidiary figure.
(d) Incorrect. International military conflicts have a STRONGER impact, particularly in emerging markets.

TRAP:
(b) **SIBLING SWAP** (values swapped)
(c) **WRONG INPUT TWIN**
(d) **SCOPE/CONDITION ERROR** (dropped effect)

Book 5, Reading 103, Module 103.1, LO 103.c | Magnitude anchors: 1% domestic vs 5% EM military conflict

Q14.

Reading 103 | LO 103.c

A portfolio manager assesses which firms outside a conflict zone are most likely to see stock price declines. Which statement is most consistent with the reading?

(a) Firms with substantial trade or investment exposure to affected countries can experience significant declines, and effects are generally more pronounced in emerging markets.
(b) Firms are insulated because diversified revenue streams fully offset geopolitical risk.
(c) Effects are limited to commodity price changes and do not reach firm-level stock returns.
(d) Declines occur only for firms with weak defense and energy segments.

ANSWER: (a)

CONCEPT TESTED: the cross-border firm-level transmission. Intuition: the conflict travels along the firm's own supply and ownership wires: revenue exposure, subsidiaries, significant shareholders in the affected region.

SOLUTION: (a) is correct. Trade, revenue, subsidiary, or shareholder linkages transmit declines, with emerging markets hit harder.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Revenue diversification alone does not fully insulate firms from spillovers.
(c) Incorrect. Firm-level stock returns are directly affected via linkages.
(d) Incorrect. Defense and energy firms typically do NOT face heightened downside risk in these events; the conditional is fabricated.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **SCOPE/CONDITION ERROR**
(d) **POLARITY FLIP**

Book 5, Reading 103, Module 103.1, LO 103.c | Known GARP-style template (mirrors Schweser Module Quiz 103.1 Q3 structure) | Qualifier: "most consistent"

Q15.

Reading 103 | LO 103.c

Regarding equity market reactions to Russia's 2022 invasion of Ukraine, which statement is correct?

(a) Defense and energy firms with revenue exposure to Russia and Ukraine fell sharply, while equity returns in those same sectors ROSE in other countries on expectations of higher defense spending and energy prices.
(b) Defense and energy firms rose everywhere, including those with direct revenue exposure to Russia and Ukraine.

(c) European markets fell less sharply than other advanced economies because of energy hedging programs.
(d) Firms with subsidiaries in Russia or Ukraine saw valuations rise about 2.5% within a week as investors priced in asset sales.

ANSWER: (a)

CONCEPT TESTED: the sector-versus-exposure distinction in the Ukraine case. Intuition: being in the RIGHT SECTOR helped, but being EXPOSED TO the conflict zone hurt, and exposure dominated for firms earning revenue there. Two forces, opposite signs, sorted by geography of revenue.

SOLUTION: (a) is correct. Exposed defense and energy firms fell; the same sectors elsewhere rose.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Erases the exposure penalty, keeping only the sector benefit.
(c) Incorrect. European markets fell MORE sharply, given close economic links and energy import reliance.
(d) Incorrect. Subsidiary-exposed firms saw valuations DECLINE about 2.5% within a week.

TRAP:
(b) **SCOPE/CONDITION ERROR** (dropped condition)
(c) **POLARITY FLIP**
(d) **POLARITY FLIP** (right magnitude, wrong sign)

Book 5, Reading 103, Module 103.1, LO 103.c | Four-statement audit | Case anchor: subsidiary-exposed firms down approx. 2.5% in one week

Q16.

Reading 103 | LO 103.c

Regarding equity effects of the US-China trade tensions, which comparison is correct?

(a) Chinese equity values fell about 4% on average following tariff announcements, including nearly 8% after the May 2019 US tariff announcement, while US firms declined more moderately, averaging about 1.3% between 2018 and 2024.
(b) US firms fell about 4% on average, while Chinese firms declined about 1.3%.
(c) Chinese equity values fell about 8% on average across all tariff announcements.
(d) The study covered tariff events through 2025, showing intensifying effects in the final year.

ANSWER: (a)

CONCEPT TESTED: the asymmetric tariff impact plus the study's coverage window. Intuition: the tariff hit landed harder on China (about 4% average, nearly 8% at the May 2019 peak) than on the US (about 1.3% average, 1.6% to 1.8% after China's August 2019 retaliation).

SOLUTION: (a) is correct. All three figures are correctly placed.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Transposes the two countries' magnitudes.
(c) Incorrect. Promotes the single-event peak (May 2019) to the average.
(d) Incorrect. Although the IMF report was published in April 2025, the tariff analysis covers only 2018 to 2024, with no 2025 event data.

TRAP:
(b) **SIBLING SWAP** (country swap)
(c) **INTERMEDIATE-RESULT TRAP** (specific event value used as the average)
(d) **SCOPE/CONDITION ERROR** (window overstated)

Book 5, Reading 103, Module 103.1, LO 103.c | Magnitude anchors: China approx. 4% avg, approx. 8% May 2019; US approx. 1.3% avg, 1.6-1.8% Aug 2019 retaliation | Coverage: 2018-2024 only

Q17.

Reading 103 | LO 103.c

Countries geographically or economically close to a conflict zone experience equity declines that are, according to the reading, as much as:

(a) 2.5 times larger than those in more distant countries.
(b) 7 times larger than those in more distant countries.
(c) 20 times larger than those in more distant countries.
(d) Identical, because global markets price conflict risk uniformly.

ANSWER: (a)

CONCEPT TESTED: the proximity multiplier, isolated from its neighbors. Intuition: three multiples live in this reading. Proximity to conflict: up to 2.5x. Large regional two-standard-deviation shock: up to 7x. Global multi-country shock: up to 20x.

SOLUTION: (a) is correct. Proximity via trade and financial linkages amplifies declines by as much as 2.5 times.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. That is the large regional shock multiple.
(c) Incorrect. That is the global shock multiple.
(d) Incorrect. Cross-border effects are transmitted unevenly through trade and financial linkages.

TRAP:
(b) **WRONG INPUT TWIN**
(c) **WRONG INPUT TWIN**

(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 103, Module 103.1, LO 103.c | Multiplier registry: 2.5x proximity / 7x regional / 20x global

LO 103.d Reading 103

Evaluate the effects of geopolitical shocks on sovereign risk premiums.

Q18. Reading 103 | LO 103.d

Sovereign CDS spreads widen by approximately how much within one month of major conflicts, in emerging markets versus advanced economies?

(a) Approximately 180 bps in emerging markets versus approximately 40 bps in advanced economies.
(b) Approximately 40 bps in emerging markets versus approximately 180 bps in advanced economies.
(c) Approximately 100 bps in emerging markets versus approximately 120 bps in advanced economies.
(d) Approximately 180 bps in both, since sovereign CDS markets are globally integrated.

ANSWER: (a)

CONCEPT TESTED: the EM-versus-AE CDS response. Intuition: the fragile borrower gets repriced hardest: roughly 180 bps for emerging markets against roughly 40 bps for advanced economies, a 4-to-5 times gap.

SOLUTION: (a) is correct. Approximately 180 bps EM versus approximately 40 bps AE within one month.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Transposes the two economy types.
(c) Incorrect. Imports the vulnerability-conditional figures: approximately 100 bps for below-median reserve adequacy and approximately 120 bps for below-median institutional quality.
(d) Incorrect. Erases the stated EM-AE asymmetry.

TRAP:
(b) **SIBLING SWAP** (values swapped)
(c) **WRONG INPUT TWIN**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 103, Module 103.2, LO 103.d | Magnitude anchors: 180 bps EM / 40 bps AE; 100 bps low reserves / 120 bps weak institutions

Q19. Reading 103 | LO 103.d

During a global geopolitical shock, long-term sovereign yields in conflict-affected emerging markets and in safe-haven countries such as the US, UK, Germany, Switzerland, and Japan move in which directions?

(a) Emerging market yields rise; safe-haven yields fall, with the safe-haven response increasing with the size and severity of the event.
(b) Emerging market yields fall; safe-haven yields rise as investors sell reserves to fund domestic needs.
(c) Both rise, since global risk premiums increase uniformly.
(d) Both fall, since central banks ease policy globally.

ANSWER: (a)

CONCEPT TESTED: the yield divergence and the severity gradient. Intuition: money runs from the fire toward the vault, so the vault's yields drop while the fire zone's borrowing cost jumps, and the bigger the fire, the harder the run.

SOLUTION: (a) is correct. Vulnerable EM yields rise, safe-haven yields fall, and the safe-haven effect scales with event severity.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses both directions.
(c) Incorrect. Denies the safe-haven flow, which is the defining asymmetry.
(d) Incorrect. Same defect from the other side, and no uniform global easing is described.

TRAP:
(b) **POLARITY FLIP** (double)
(c) **ABSOLUTE-CLAIM TRAP**
(d) **POLARITY FLIP**

Book 5, Reading 103, Module 103.2, LO 103.d | Polarity-sensitive: EM yields UP, safe-haven yields DOWN

Q20. Reading 103 | LO 103.d

Which type of economy is MOST vulnerable to rising sovereign CDS spreads following a geopolitical shock?

(a) Economies with a large defense sector.
(b) Commodity exporters with weak reserves.
(c) Emerging market economies with low fiscal buffers.
(d) Advanced economies with moderate trade ties to impacted countries.

ANSWER: (c)

CONCEPT TESTED: the sovereign vulnerability profile. Intuition: the danger stack is high debt-to-GDP, thin fiscal and reserve buffers, and

weak institutional quality, concentrated in emerging markets.

SOLUTION: (c) is correct. Emerging markets with limited fiscal and reserve buffers and weaker institutions face the largest CDS spread increases.

OPTION ANALYSIS:
(a) Incorrect. Defense-heavy economies often BENEFIT from increased military spending.
(b) Incorrect. Commodity exporters generally gain from higher energy prices during global shocks; the weak-reserves qualifier is the bait.
(c) Correct. As established in the solution above.
(d) Incorrect. Advanced economies may see some increase, but the effect is typically much smaller (approximately 40 bps versus approximately 180 bps).

TRAP:
(a) **POLARITY FLIP**
(b) **POLARITY FLIP**
(d) **SIBLING SWAP** (lesser-affected group)

Book 5, Reading 103, Module 103.2, LO 103.d | Known GARP-style template (mirrors Schweser Module Quiz 103.2 Q1 structure) | Qualifier: "MOST vulnerable"

Q21.

Reading 103 | LO 103.d

Two emerging market sovereigns are hit by the same global geopolitical shock. Country X has an international reserve adequacy ratio below the median; Country Y has institutional quality below the median. Based on the historical evidence cited, which comparison of their sovereign CDS spread increases is most accurate?

(a) Country X approximately 100 bps; Country Y approximately 120 bps.
(b) Country X approximately 120 bps; Country Y approximately 100 bps.
(c) Both approximately 180 bps, since both are emerging markets.
(d) Both approximately 40 bps, since these vulnerability measures are not priced by CDS markets.

ANSWER: (a)

CONCEPT TESTED: the vulnerability-conditional CDS magnitudes. Intuition: weak buffers hurt (about 100 bps), but weak INSTITUTIONS hurt more (about 120 bps), because reserves can be rebuilt while institutional quality cannot be bought quickly. Keep these separate from the headline EM average of about 180 bps and the AE average of about 40 bps.

SOLUTION: (a) is correct. Below-median reserve adequacy maps to approximately 100 bps; below-median institutional quality to approximately 120 bps, the larger of the two.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Transposes the two conditional figures, understating the institutional-quality penalty.
(c) Incorrect. Imports the general EM average into the conditional slots.
(d) Incorrect. Imports the advanced economy figure and denies that these vulnerabilities are priced.

TRAP:
(b) **SIBLING SWAP** (values swapped)
(c) **WRONG INPUT TWIN**
(d) **WRONG INPUT TWIN** + **POLARITY FLIP**

Book 5, Reading 103, Module 103.2, LO 103.d | Magnitude registry: 180 bps EM / 40 bps AE / 100 bps low reserves / 120 bps weak institutions

Q22.

Reading 103 | LO 103.d

A sovereign analyst summarizes what drives the sensitivity of sovereign risk premiums to geopolitical events. Which statement is correct?

(a) Sovereign risk premiums reflect both a country's direct exposure to geopolitical shocks and its underlying fiscal strength, and rising fiscal vulnerabilities can undermine financial stability and heighten that sensitivity.
(b) Sovereign risk premiums reflect only direct exposure to the conflict, since fiscal position is already embedded in the credit rating.
(c) Conflicts affecting a country's key trading partners have no effect on its own sovereign risk premium, absent direct involvement.
(d) Sovereign CDS spreads tend to narrow after military conflicts, as investors reprice government support for the economy.

ANSWER: (a)

CONCEPT TESTED: the two determinants of sovereign premium sensitivity, plus the trading-partner channel. Intuition: the market prices both the SHOCK and the SHOCK ABSORBER; a country with strong public finances can take a hit that would break a fragile one, and a partner's war weakens your own expected activity and external position.

SOLUTION: (a) is correct. Direct exposure plus fiscal strength, with rising fiscal vulnerability amplifying sensitivity.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Fiscal strength is an explicit second determinant, not a redundant one.
(c) Incorrect. Conflicts affecting key trading partners CAN raise a country's sovereign risk premium by weakening expected economic activity and heightening external vulnerabilities.
(d) Incorrect. Spreads tend to rise SHARPLY after military conflicts on fiscal stability and debt sustainability concerns.

TRAP:

(b) **SCOPE/CONDITION ERROR** (dropped term)
(c) **SCOPE/CONDITION ERROR**
(d) **POLARITY FLIP**

Book 5, Reading 103, Module 103.2, LO 103.d | Four-statement audit | Qualifier: "correct"

LO 103.e Reading 103

Explain how investors price geopolitical risk in equity and option markets, including changes in downside risk and tail-risk premiums.

Q23.

Reading 103 | LO 103.e

Under modern asset-pricing theory as applied in the reading, how are risk premiums assigned to assets based on their behavior during periods of elevated geopolitical risk?

(a) Positive premiums for assets that LOSE value when geopolitical risk rises, and negative premiums for assets expected to GAIN value in such periods.
(b) Positive premiums for assets that GAIN value when geopolitical risk rises, and negative premiums for assets that lose value.
(c) Positive premiums for all assets, since geopolitical risk is undiversifiable.
(d) Zero premiums, since geopolitical events are unpredictable and therefore unpriced.

ANSWER: (a)

CONCEPT TESTED: the sign convention for geopolitical risk premiums. Intuition: insurance is expensive to buy, so investors ACCEPT a lower (even negative) expected return for assets that pay off in bad states, and DEMAND compensation for assets that crater in those states.

SOLUTION: (a) is correct. Losers in bad states carry positive premiums; hedges carry lower or negative premiums for their protective value.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the sign convention exactly.
(c) Incorrect. Denies the negative-premium case for protective assets.
(d) Incorrect. Geopolitical risk is priced in both equity and option markets.

TRAP:
(b) **POLARITY FLIP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **POLARITY FLIP**

Book 5, Reading 103, Module 103.2, LO 103.e | Polarity-sensitive: loses value = POSITIVE premium; hedges = NEGATIVE premium

Q24.

Reading 103 | LO 103.e

A quantitative analyst estimates geopolitical risk (GPR) betas across sectors. Which pattern is most consistent with the reading?

(a) Energy and defense stocks typically exhibit positive GPR betas, while consumer-oriented sectors show negative GPR betas.
(b) Energy and defense stocks typically exhibit negative GPR betas, while consumer-oriented sectors show positive GPR betas.
(c) All sectors exhibit positive GPR betas, since geopolitical shocks raise systematic risk.
(d) GPR betas measure the volatility of geopolitical events rather than the sensitivity of returns to them.

ANSWER: (a)

CONCEPT TESTED: the GPR beta definition and its cross-sectional pattern. Intuition: the beta measures which way a stock moves when tension rises; the sectors that WIN from conflict (energy, defense) load positively, and the ones that lose customer demand load negatively.

SOLUTION: (a) is correct. Energy and defense positive; consumer-oriented negative, reflecting underlying economic sensitivities.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the sign pattern across sectors.
(c) Incorrect. Erases the cross-sectional variation that the measure exists to capture.
(d) Incorrect. GPR betas measure the SENSITIVITY OF EQUITY RETURNS to geopolitical shocks, not event volatility.

TRAP:
(b) **POLARITY FLIP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SIBLING SWAP** (metric misdefined)

Book 5, Reading 103, Module 103.2, LO 103.e | Four-statement audit | Qualifier: "most consistent"

Q25.

Reading 103 | LO 103.e

Following Russia's 2022 invasion of Ukraine, the GPR beta premium between the energy sector and other sectors moved from negative to positive. This shift most likely indicates:

(a) A change in investor preferences toward stocks that provide protection, or act as hedges, during periods of elevated geopolitical risk.
(b) That energy stocks became less useful as geopolitical hedges after the invasion.
(c) That energy sector cash flows became more sensitive to consumer demand.
(d) That the invasion reduced overall market risk aversion.

ANSWER: (a)

CONCEPT TESTED: interpretation of a premium sign flip. Intuition: when the crowd suddenly wants umbrellas, the price of umbrellas relative to sunglasses re-rates; the premium shift records that preference change toward hedging assets.

SOLUTION: (a) is correct. The negative-to-positive shift signals investor preference moving toward protective, hedge-like stocks.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The shift indicates energy's hedging role was being repriced upward in importance, not diminished.
(c) Incorrect. Consumer-demand sensitivity characterizes the NEGATIVE-beta sectors.
(d) Incorrect. Risk aversion ROSE around the event.

TRAP:
(b) **POLARITY FLIP**
(c) **SIBLING SWAP**
(d) **POLARITY FLIP**

Book 5, Reading 103, Module 103.2, LO 103.e | Interpretation audit | Qualifier: "most likely indicates"

Q26.

Reading 103 | LO 103.e

In option markets, which instruments are used to price downside risk protection and tail risk protection respectively, and how did their premiums behave during major geopolitical shocks?

(a) Equity put options price downside protection and deep out-of-the-money puts price tail protection; both premiums rose sharply, with tail risk protection premiums rising the most.

(b) Equity call options price downside protection and deep in-the-money calls price tail protection; both premiums fell.

(c) Equity put options price downside protection and deep out-of-the-money puts price tail protection; downside premiums rose the most, while tail premiums were stable.

(d) Both types of protection are priced with at-the-money straddles, whose premiums were unchanged.

ANSWER: (a)

CONCEPT TESTED: instrument mapping and the relative magnitude of premium increases. Intuition: puts are the insurance policy; the deeper out of the money, the more it is disaster insurance, and disaster insurance is what repriced most in a crisis.

SOLUTION: (a) is correct. Puts for downside, deep OTM puts for tail risk, both rising sharply with tail premiums rising the most.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Calls provide upside participation, not downside protection, and premiums rose rather than fell.
(c) Incorrect. Right instruments, but the relative magnitude is reversed: TAIL premiums rose the most.
(d) Incorrect. Straddles are not the stated instruments and premiums were not unchanged.

TRAP:
(b) **SIBLING SWAP** + **POLARITY FLIP**
(c) **POLARITY FLIP** (ranking)
(d) **SIBLING SWAP**

Book 5, Reading 103, Module 103.2, LO 103.e | Four-statement audit | Confusables: downside protection (puts) vs tail protection (deep OTM puts), differs by: moneyness

Q27.

Reading 103 | LO 103.e

Comparing option-market spillovers from the two case studies, which statement is correct?

(a) Put premiums rose after Russia's invasion not only for Russian firms but also for European firms with revenue or subsidiary exposure, whereas the 2018-2019 US-China tariff announcements raised option premiums in both countries without meaningful spillover to other global markets.

(b) The tariff announcements produced broad global option premium spillovers, while the Ukraine invasion's effects were contained to Russian firms.

(c) Neither event moved option premiums materially, since both were widely anticipated.

(d) Put premiums rose only for firms domiciled in the conflict countries themselves in both episodes.

ANSWER: (a)

CONCEPT TESTED: the differing spillover footprints of the two cases. Intuition: a war radiates along exposure wires into Europe; a bilateral tariff fight mostly stays bilateral.

SOLUTION: (a) is correct. Broad exposure-based spillover in the Ukraine case; contained bilateral effect in the tariff case.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses which episode spilled over.
(c) Incorrect. Premiums rose sharply in both, though with different reach.
(d) Incorrect. Exposure-linked European firms also saw premiums rise after the invasion.

TRAP:
(b) **SIBLING SWAP** (case swap)
(c) **POLARITY FLIP**

(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 103, Module 103.2, LO 103.e | Case-study cross-mapping (5B.6) | Confusables pair: Ukraine invasion (broad exposure spillover) vs US-China tariffs (contained bilateral)

LO 103.f Reading 103

Describe the implications of geopolitical risk exposure for the resilience of banks and nonbank financial institutions, including effects on equity valuations, lending, and investment fund flows.

Q28.

Reading 103 | LO 103.f

A supervisor summarizes the risk profile of banks and nonbanks during geopolitical conflicts. Which statement is most consistent with the reading?

(a) Both face elevated market, credit, and liquidity risks; volatility can trigger selloffs that erode asset and collateral values and tighten lending, with capital outflows amplifying volatility especially in less liquid markets, compounded by sanctions, capital controls, and cyberattacks.
(b) Banks face elevated risks, but nonbank financial institutions are insulated by their lack of deposit funding.
(c) Selloffs raise collateral values, which loosens lending conditions during conflicts.
(d) Capital outflows dampen volatility by reducing the number of active positions.

ANSWER: (a)

CONCEPT TESTED: the institution-level risk cascade. Intuition: volatility knocks down asset prices, which knocks down collateral, which tightens credit, and money leaving thin markets makes each knock harder.

SOLUTION: (a) is correct. The full stated cascade across both institution types, with sanctions, capital controls, and cyber risk as compounding factors.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Both banks and nonbanks face elevated risks.
(c) Incorrect. Selloffs ERODE collateral values and TIGHTEN lending.
(d) Incorrect. Capital outflows AMPLIFY volatility, particularly in less liquid markets.

TRAP:
(b) **SCOPE/CONDITION ERROR**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 103, Module 103.2, LO 103.f | Four-statement audit | Qualifier: "most consistent"

Q29.

Reading 103 | LO 103.f

As of 2024, financial institutions' exposure to markets with elevated geopolitical risk accounted for approximately what shares of cross-border bank claims, cross-border bank liabilities, and equity fund assets respectively?

(a) 8%, 10%, and 13%.
(b) 13%, 10%, and 8%.
(c) 10%, 8%, and 13%.
(d) 8%, 13%, and 10%.

ANSWER: (a)

CONCEPT TESTED: the 2024 exposure triple in the correct order. Intuition: hold the ladder claims, liabilities, equity funds as 8, 10, 13, ascending across the three measures.

SOLUTION: (a) is correct. Approximately 8% of cross-border bank claims, 10% of cross-border bank liabilities, and 13% of equity fund assets.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the ascending order.
(c) Incorrect. Transposes the claims and liabilities figures.
(d) Incorrect. Transposes the liabilities and equity fund figures.

TRAP:
(b) **POLARITY FLIP** (sequence inverted)
(c) **SIBLING SWAP** (adjacent cells)
(d) **SIBLING SWAP**

Book 5, Reading 103, Module 103.2, LO 103.f | Choice-matrix style (5B.5) | Magnitude anchor: 8 / 10 / 13 ascending

Q30.

Reading 103 | LO 103.f

Which statement about the evolution of institutional exposure to Russia and Ukraine is correct?

(a) Banks reduced direct exposure over the past decade following Russia's 2014 annexation of Crimea, and investment funds cut direct exposure by roughly 60% after the 2022 invasion while also lowering indirect exposure.
(b) Banks increased direct exposure after 2014, with reductions beginning only after the 2022 invasion.
(c) Investment funds cut direct exposure by roughly 6% after the 2022 invasion.
(d) Since 2022, aggregate firm and country exposure to Russia has increased across all regions.

ANSWER: (a)

CONCEPT TESTED: the exposure timeline and magnitude. Intuition: banks started backing away after Crimea in 2014, funds slashed roughly 60% of direct exposure after the 2022 invasion, and aggregate exposure has fallen since 2022 with a few exceptions.

SOLUTION: (a) is correct. Bank retrenchment since 2014 and the roughly 60% fund cut after 2022, plus reduced indirect exposure.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the direction of bank exposure after 2014.
(c) Incorrect. Understates the cut by a factor of ten.
(d) Incorrect. Aggregate exposure has DECLINED significantly since 2022, though it has increased for some firms in certain Asia-Pacific and European countries; "across all regions" overextends the exception.

TRAP:
(b) **POLARITY FLIP**
(c) **CALCULATION-SLIP** (magnitude)
(d) **POLARITY FLIP** + **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 103, Module 103.2, LO 103.f | Four-statement audit | Magnitude anchor: approx. 60% fund exposure cut post-2022

Q31. Reading 103 | LO 103.f

According to the IMF evidence cited, bond funds with 10% exposure to conflict-affected countries experienced which effects, and how did funds exposed to Russia and Ukraine fare after the 2022 invasion?

(a) A 2.3% drop in asset flows and a 1% decline in returns, with equity funds seeing smaller effects; funds with 10% direct exposure lost about 6% in cumulative returns within one week and 8% over the next six months.
(b) A 1% drop in asset flows and a 2.3% decline in returns, with equity funds seeing larger effects; exposed funds lost about 8% within one week.
(c) A 2.3% drop in asset flows and a 1% decline in returns; exposed funds lost about 6% within one week, with losses fully recovered over six months.
(d) No measurable flow or return effects, since fund exposures were already hedged.

ANSWER: (a)

CONCEPT TESTED: the fund-flow and return magnitudes, including the path over time. Intuition: flows fell more than returns (2.3% versus 1%), bond funds were hit harder than equity funds, and losses deepened rather than healed: about 6% in a week widening to about 8% over six months.

SOLUTION: (a) is correct. All four figures and the deepening path are correctly stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Transposes the flow and return figures and reverses the bond-versus-equity fund comparison.
(c) Incorrect. Right opening figures, but losses WIDENED to about 8% over six months rather than recovering.
(d) Incorrect. Denies documented effects.

TRAP:
(b) **SIBLING SWAP**
(c) **POLARITY FLIP** (path reversed)
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 103, Module 103.2, LO 103.f | Magnitude anchors: 2.3% flows / 1% returns; 6% one week / 8% six months

Q32. Reading 103 | LO 103.f

Following a major geopolitical risk event, investment funds with meaningful exposure to affected countries are MOST likely to experience:

(a) Increased inflows from retail investors seeking discounted valuations.
(b) Redemption pressures and forced asset sales.
(c) Improved liquidity due to direct central bank support.
(d) Minimal net asset value changes due to diversification.

ANSWER: (b)

CONCEPT TESTED: the fund-level stress response, and the boundary of official support. Intuition: exposure plus fear equals redemptions, and redemptions force sales into falling markets, which is the contagion channel; funds do not get a central bank backstop the way banks might.

SOLUTION: (b) is correct. Exposed funds face redemption pressure and valuation declines, raising spillover and cross-market contagion risk.

OPTION ANALYSIS:
(a) Incorrect. Inflows are unlikely during heightened uncertainty.
(b) Correct. As established in the solution above.
(c) Incorrect. Investment funds generally do not receive direct central bank liquidity support.
(d) Incorrect. Diversification does not prevent the documented NAV declines for exposed funds.

TRAP:
(a) **POLARITY FLIP**

(c) **ROLE MISASSIGNMENT**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 103, Module 103.2, LO 103.f | Known GARP-style template (mirrors Schweser Module Quiz 103.2 Q2 structure) | Qualifier: "MOST likely"

READING 104: MONETARY AND FISCAL POLICY: SAFEGUARDING STABILITY AND TRUST

Priority: IMPORTANT | 15 questions | Book 5, Study Session 15

LO 104.a Reading 104

Compare and contrast the channels through which fiscal policy and monetary policy influence a country's economic activity and financial markets, and define the "region of stability" in terms of their joint policy stances.

Q33.

Reading 104 | LO 104.a

A policy analyst distinguishes the channels through which fiscal and monetary policy operate. Which assignment is correct?

(a) Fiscal policy operates through federal spending, tax policy, production of some services, and transfer payments; monetary policy operates through open market transactions and policy rates, spilling over into bond yields, borrowing costs, asset prices, and exchange rates.

(b) Fiscal policy operates through open market transactions and policy rates; monetary policy operates through spending and transfer payments.

(c) Both policies operate solely through interest rates, differing only in who sets them.

(d) Transfer payments to individuals are a monetary policy channel because they expand the money supply.

ANSWER: (a)

CONCEPT TESTED: the channel assignment. Intuition: fiscal moves MONEY the government takes and gives (tax, spend, transfer, provide services); monetary moves the PRICE and QUANTITY of money (open market operations, policy rates), which then ripples into yields, credit costs, asset prices, and currencies.

SOLUTION: (a) is correct. That is the stated channel split.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps the two channel sets entirely.
(c) Incorrect. Fiscal policy has a DIRECT spending and tax channel, not merely a rate channel.
(d) Incorrect. Transfer payments are a FISCAL channel regardless of any money-supply intuition.

TRAP:
(b) **SIBLING SWAP** (mirror reversal)
(c) **SCOPE/CONDITION ERROR**
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 104, Module 104.1, LO 104.a | Category-matching audit | Qualifier: "correct"

Q34.

Reading 104 | LO 104.a

Which statement is most likely a challenge associated with the region of stability?

(a) The region is the same in all countries.

(b) The size of the region is persistent over time.

(c) The shape of the region is persistent over time.

(d) Regulation and foreign exchange rate interventions can both alter this region.

ANSWER: (d)

CONCEPT TESTED: the properties of the region of stability. Intuition: it is a moving, country-specific, hard-to-measure target: shape, size, and locus all shift, some changes slowly (demographics, financial innovation), some suddenly (commodity spike, pandemic), and policy interventions can move the boundaries themselves.

SOLUTION: (d) is correct. Regulation and FX interventions can alter the region, which is precisely what makes managing within it difficult.

OPTION ANALYSIS:
(a) Incorrect. The boundaries VARY by country.
(b) Incorrect. Size is constantly changing, not persistent.
(c) Incorrect. Shape is likewise constantly changing.
(d) Correct. As established in the solution above.

TRAP:
(a) **POLARITY FLIP**
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**

Book 5, Reading 104, Module 104.1, LO 104.a | Known GARP-style template (mirrors Schweser Module Quiz 104.1 Q1 structure) | Qualifier: "most likely a challenge"

Q35.

Reading 104 | LO 104.a

A central bank governor argues that fiscal policy should stop short of the estimated outer limit of the region of stability. Which rationale is most consistent with the reading?

(a) The boundaries can easily become blurred, so a margin of safety is needed to allow for unexpected outcomes; testing boundaries can trigger painful economic outcomes.
(b) The boundaries are precisely quantifiable in a single metric, so the outer limit can be targeted exactly.
(c) Operating at the outer limit is optimal because it maximizes stimulus without technically breaching stability.
(d) Margins of safety are unnecessary for advanced economies, whose regions of stability do not move.

ANSWER: (a)

CONCEPT TESTED: the margin-of-safety principle. Intuition: you do not park on the edge of a cliff whose edge keeps crumbling; since the boundary is fuzzy and mobile, leave room.

SOLUTION: (a) is correct. Blurred boundaries plus painful breach consequences justify a margin of safety.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. It is difficult to quantify the region in a single metric; that difficulty is a named challenge.
(c) Incorrect. Directly contradicts the moderation principle; prolonged ultra-low rates encouraging excessive debt is the cautionary example.
(d) Incorrect. The region changes for all countries; AEs simply have a larger one than EMEs.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 104, Module 104.1, LO 104.a | Four-statement audit | Qualifier: "most consistent"

Q36.

Reading 104 | LO 104.a

A newly hired analyst asks how the two policies overlap in practice. Which illustration is most accurate?

(a) If the central bank raises interest rates, federal borrowing costs rise, the economy slows, and tax revenues decrease; and excessive fiscal stimulus can produce inflation that requires a monetary policy response.
(b) If the central bank raises interest rates, federal borrowing costs fall because bond prices rise.
(c) Monetary policy revenues never reach the federal government, so no fiscal linkage exists.
(d) Fiscal stimulus reduces inflation, which permits monetary easing.

ANSWER: (a)

CONCEPT TESTED: the two-way overlap. Intuition: they are two hands on the same steering wheel; tightening rates raises the government's own interest bill and shrinks its tax take, while overspending forces the central bank to tighten.

SOLUTION: (a) is correct. Both directions of the overlap are stated exactly this way.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Higher policy rates RAISE federal borrowing costs.
(c) Incorrect. Positive monetary policy revenues flow through to the federal government and support fiscal spending.
(d) Incorrect. Too much fiscal stimulus PRODUCES inflation.

TRAP:
(b) **POLARITY FLIP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **POLARITY FLIP**

Book 5, Reading 104, Module 104.1, LO 104.a | Four-statement audit | Qualifier: "most accurate"

Q37.

Reading 104 | LO 104.a

Which description of changes affecting the region of stability correctly distinguishes gradual from rapid changes?

(a) Gradual: demographic shifts and financial innovations. Rapid: a commodity price spike from a geopolitical event or a sudden-onset pandemic.
(b) Gradual: commodity price spikes and pandemics. Rapid: demographic shifts and financial innovations.
(c) All changes to the region occur gradually, which is why breaches are rarely sudden.
(d) All changes to the region occur rapidly, which is why margins of safety are pointless.

ANSWER: (a)

CONCEPT TESTED: the pace taxonomy of boundary shifts. Intuition: populations age and markets innovate over decades; wars and viruses move the boundary in a week.

SOLUTION: (a) is correct. Demographics and financial innovation are the gradual examples; commodity spikes and pandemics the rapid ones.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps the two categories.
(c) Incorrect. Rapid changes are explicitly recognized.
(d) Incorrect. Both paces occur, and margins of safety are precisely the recommended response.

TRAP:

(b) **SIBLING SWAP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 104, Module 104.1, LO 104.a | Category-matching audit | Qualifier: "correctly distinguishes"

LO 104.b Reading 104

Describe the consequences of breaching the boundaries of the region of stability, and how these consequences have evolved over time in advanced economies and in emerging market economies.

Q38.

Reading 104 | LO 104.b

An economic historian contrasts the two pre-pandemic phases in advanced economies. Which contrast is correct?

(a) Phase 1 (1960s to mid-1980s): boundary testing showed up as very high inflation, fought with very high policy rates, producing a surge in public debt and a shift toward prioritizing price stability. Phase 2 (mid-1980s to the pandemic): financial liberalization and globalization lowered inflation, so boundary testing shifted to risk-taking and financial imbalances, with financial recessions replacing inflation-induced recessions.
(b) Phase 1 was characterized by financial liberalization and asset price booms; Phase 2 by hyperinflation fought with high rates.
(c) Phase 2 saw inflation-induced recessions replace financial recessions, with shorter-lasting growth effects.
(d) In Phase 2, monetary policy tightened promptly during each recovery, which prevented public debt from rising.

ANSWER: (a)

CONCEPT TESTED: the two-phase AE narrative. Intuition: first the enemy was PRICES, then the enemy was IMBALANCES. And the crucial asymmetry in Phase 2: rates were cut in downturns but not raised in recoveries, because inflation stayed quiet, which let public debt balloon.

SOLUTION: (a) is correct. Both phases with their correct symptoms, causes, and consequences.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps the two phases' defining features.
(c) Incorrect. Reverses the recession types AND their persistence: financial recessions replaced inflation-induced ones and had LONGER-lasting effects on growth.
(d) Incorrect. Monetary policy did NOT tighten during recoveries, which is exactly why the low-rate regime enabled a massive debt increase.

TRAP:
(b) **SIBLING SWAP** (phase swap)
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 104, Module 104.1, LO 104.b | Four-statement audit | Confusables: Phase 1 (inflation, high rates) vs Phase 2 (liberalization, low rates, financial imbalances)

Q39.

Reading 104 | LO 104.b

Which statement is correct regarding the interaction between fiscal and monetary policy as stability boundaries are approached?

(a) Lower policy rates increase constraints on fiscal policy options.
(b) Fiscal policy increases its impact as sovereign debt levels increase.
(c) Monetary policy needs fewer extreme actions to have an impact when sovereign debt levels are high.
(d) Monetary policy needs more extreme actions to have an impact when sovereign debt levels are high.

ANSWER: (d)

CONCEPT TESTED: loss of policy traction near the boundaries. Intuition: both levers get spongy. Rate changes bite less when rates are already low, so 50 or 75 basis point moves become necessary; and fiscal stimulus loses power when debt is high because sustainability and default risk enter the conversation.

SOLUTION: (d) is correct. High sovereign debt reduces fiscal stimulus impact and requires more extreme monetary moves.

OPTION ANALYSIS:
(a) Incorrect. Lower policy rates REDUCE fiscal borrowing constraints and encourage higher public debt.
(b) Incorrect. Fiscal stimulus becomes LESS powerful as debt rises.
(c) Incorrect. Direct reversal of the correct answer, and the most tempting distractor for anyone who half-recalls the traction concept.
(d) Correct. As established in the solution above.

TRAP:
(a) **POLARITY FLIP**
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**

Book 5, Reading 104, Module 104.1, LO 104.b | Known GARP-style template (mirrors Schweser Module Quiz 104.1 Q2 structure) | Polarity-sensitive: high debt = MORE extreme monetary action needed

Q40.

Reading 104 | LO 104.b

Which statement is correct regarding the implications of foreign exchange rate dependency for emerging market economies (EMEs)?

(a) Boundary breaches lead to currency appreciation and capital outflows.
(b) EMEs are addressing exchange rate vulnerability primarily through timelier monetary stimulus.
(c) Monetary policy changes in advanced economies can have a large ripple effect in EMEs.

(d) Higher economic growth translates into a higher margin for error with the boundaries of the region of stability.

ANSWER: (c)

CONCEPT TESTED: the four implications of FX dependency. Intuition: EMEs run on a narrower ledge (smaller region of stability), breaches show up as capital flight and a FALLING currency, US rate moves shake them hardest, and the chosen defense is flexible exchange rates plus inflation targeting.

SOLUTION: (c) is correct. AE monetary policy, especially US policy rate changes, ripples strongly into EMEs via exchange rates.

OPTION ANALYSIS:
(a) Incorrect. Breaches produce currency DEPRECIATION alongside capital outflows.
(b) Incorrect. The stated shift is toward FLEXIBLE exchange rate goals and inflation-targeting frameworks, not timelier stimulus.
(c) Correct. As established in the solution above.
(d) Incorrect. The EME region of stability is SMALLER than the AE region, so the margin for error is smaller; growth is not the stated determinant.

TRAP:
(a) **POLARITY FLIP**
(b) **SIBLING SWAP**
(d) **POLARITY FLIP**

Book 5, Reading 104, Module 104.1, LO 104.b | Known GARP-style template (mirrors Schweser Module Quiz 104.1 Q3 structure) | Qualifier: "correct"

Q41. Reading 104 | LO 104.b

Comparing EME and AE experiences with financial liberalization and inflation, which statement is most consistent with the reading?

(a) Financial liberalization increased the incidence of financial cycles and banking crises in EMEs, including the early-1980s Southern Cone crisis, the 1994 Tequila crisis, and the late-1990s Asian crisis, while inflation outcomes diverged: Asia enjoyed relatively low inflation whereas Latin America experienced hyperinflation in the 1980s and 1990s, often paired with sovereign debt defaults.

(b) Financial liberalization reduced the incidence of banking crises in EMEs by deepening markets.

(c) Inflation outcomes were uniform across EMEs, since globalization affected all of them identically.

(d) Latin America enjoyed relatively low inflation while Asia experienced hyperinflation paired with sovereign defaults.

ANSWER: (a)

CONCEPT TESTED: the EME crisis and inflation record. Intuition: opening the financial system raised the crisis frequency everywhere, but political and institutional differences split the inflation outcomes: Asia low, Latin America hyperinflationary with defaults.

SOLUTION: (a) is correct. All three named crises and the Asia-versus-Latin-America inflation divergence are stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Liberalization INCREASED the incidence of financial cycles and banking crises.
(c) Incorrect. Political and institutional effects created DIFFERENT experiences across EMEs.
(d) Incorrect. Swaps the two regions' inflation experiences.

TRAP:
(b) **POLARITY FLIP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SIBLING SWAP** (region swap)

Book 5, Reading 104, Module 104.1, LO 104.b | Case-study cross-mapping (5B.6): Southern Cone (early 1980s) / Tequila (1994) / Asian (late 1990s)

Q42. Reading 104 | LO 104.b

Regarding the COVID-19 pandemic period and EME policy responses, which statement is correct?

(a) Significant fiscal stimulus was followed by a rapid rebound and elevated inflation, combined with historically high public and private debt and elevated asset prices; Latin America tightened monetary policy earlier and more forcefully than its advanced economy counterparts.

(b) Latin America tightened monetary policy later and less forcefully than advanced economies during the pandemic.

(c) The pandemic period featured low inflation because fiscal stimulus was offset by lockdown-driven demand destruction.

(d) Post-pandemic, central bank holdings of government debt fell sharply in advanced economies.

ANSWER: (a)

CONCEPT TESTED: the pandemic outcome and the EME countercyclical response. Intuition: the stimulus plus reopening combination lit inflation on top of record debt and rich asset prices, and the historically inflation-scarred EMEs, Latin America especially, moved FIRST and HARDER.

SOLUTION: (a) is correct. Rapid rebound, elevated inflation, record debt and asset prices, and earlier and more forceful Latin American tightening.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the timing and force of the Latin American response.
(c) Incorrect. Inflation was ELEVATED after the rebound.

(d) Incorrect. Post-pandemic central bank holdings of government debt SOARED for AEs.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 104, Module 104.1, LO 104.b | Four-statement audit | Qualifier: "correct"

LO 104.c Reading 104

Describe the risks that global economies face as a result of high public debt levels, including the potential for these high debt levels, in combination with other factors, to drive tension between fiscal policy and monetary policy.

Q43.

Reading 104 | LO 104.c

A fiscal economist lists the three primary challenges arising from the interconnectedness of high public debt with monetary policy. Which list is correct?

(a) Public finances strained by record-high debt, spending pressure, higher rates, and slowing growth prospects; high public debt working against monetary tightening when combating inflation; and public debt levels introducing financial stability risks.
(b) Currency crises, banking crises, and sovereign defaults.
(c) Demographic decline, climate transition costs, and trade fragmentation.
(d) Central bank independence, exchange rate flexibility, and inflation targeting.

ANSWER: (a)

CONCEPT TESTED: the three-challenge structure. Intuition: the debt strains the BUDGET, it fights the CENTRAL BANK, and it endangers the FINANCIAL SYSTEM.

SOLUTION: (a) is correct. Those are the three primary challenges as stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. These are EME crisis outcomes from the previous module, not the three challenges.
(c) Incorrect. Demographics, sustainability, and geopolitics appear as SPENDING PRESSURES within challenge one, not as the three challenges themselves.
(d) Incorrect. These are policy safeguards and frameworks, not challenges.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP** (sub-items promoted)
(d) **SIBLING SWAP**

Book 5, Reading 104, Module 104.2, LO 104.c | List audit | Qualifier: "correct"

Q44.

Reading 104 | LO 104.c

A sovereign analyst explains the interest-growth differential and its implications. Which explanation is correct?

(a) It is the difference between policy rates and GDP growth; when rates are below the growth rate, as pre-pandemic, public finances can thrive, but when rates rise above growth, the economy can slow and public spending faces a natural challenge.
(b) It is the difference between inflation and GDP growth; a positive differential improves debt sustainability.
(c) It is the difference between policy rates and GDP growth; when rates exceed growth, public finances improve because higher rates signal a strong economy.
(d) It is the spread between long-term and short-term sovereign yields.

ANSWER: (a)

CONCEPT TESTED: the interest-growth differential definition and sign implications. Intuition: if the debt grows slower than the economy that services it, the burden shrinks by itself; flip that and the arithmetic turns against the budget.

SOLUTION: (a) is correct. Definition and both sign cases as stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The differential is defined on policy rates versus growth, not inflation versus growth.
(c) Incorrect. Right definition, reversed implication: rates ABOVE growth create the challenge.
(d) Incorrect. That describes the yield curve slope, a different concept.

TRAP:
(b) **WRONG INPUT TWIN**
(c) **POLARITY FLIP**
(d) **SIBLING SWAP**

Book 5, Reading 104, Module 104.2, LO 104.c | Definition-plus-sign audit | Polarity-sensitive: rates BELOW growth = finances thrive

Q45.

Reading 104 | LO 104.c

Monetary policy is constrained from taking its desired actions because political spending pressure places a floor on fiscal flexibility, and because a rate increase could spark a sovereign debt crisis. This situation is best described as:

(a) Fiscal dominance.
(b) Countercyclical policy.
(c) Financial liberalization.
(d) Monetary normalization.

ANSWER: (a)

CONCEPT TESTED: the fiscal dominance concept. Intuition: the budget takes the central bank hostage; rates cannot go where price stability requires because the sovereign's debt cannot bear it. The stated safeguard is strong institutional protection of monetary independence.

SOLUTION: (a) is correct. Fiscal dominance exists when monetary policy is constrained by fiscally imposed constraints, arising from political spending pressure and sovereign debt implications.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Countercyclical describes the two policies working in OPPOSITE directions, a related but distinct idea; here monetary policy is blocked, not merely opposed.
(c) Incorrect. Liberalization is the Phase 2 shift from government-led to market-led finance.
(d) Incorrect. Normalization is the process being obstructed, not the obstruction itself.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP** (effect named instead of condition)

Book 5, Reading 104, Module 104.2, LO 104.c | Definition discrimination | Confusables: fiscal dominance vs countercyclical policy, differs by: constraint vs opposition

Q46.

Reading 104 | LO 104.c

Which statement is LEAST accurate regarding how sovereign debt vulnerability passes through to the financial system?

(a) Federal backstops hurt bank credit ratings.
(b) Central banks serve as a lender of last resort.
(c) Central banks serve as a market maker of last resort.
(d) Sovereign debt often facilitates economic transactions by serving as collateral.

ANSWER: (a)

CONCEPT TESTED: the sovereign-bank feedback loop under a negative qualifier. Intuition: banks lean on the sovereign (collateral, liquidity, backstop) and the sovereign leans on banks; a downgrade at either end can spiral. The backstop HELPS bank ratings, which is why the loop is dangerous when the sovereign weakens.

SOLUTION: (a) is correct. Banks likely have HIGHER credit ratings with the government backstop than without it, so saying backstops hurt ratings reverses the effect.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The central bank does act as lender of last resort.
(c) Incorrect. The central bank also acts as market maker of last resort.
(d) Incorrect. Sovereign debt is a store of value, the most liquid asset, and collateral that helps price risk for other assets.

TRAP:
(b) **QUALIFIER-MISREAD BAIT**
(c) **QUALIFIER-MISREAD BAIT**
(d) **QUALIFIER-MISREAD BAIT**

Book 5, Reading 104, Module 104.2, LO 104.c | Known GARP-style template (mirrors Schweser Module Quiz 104.2 Q1 structure) | Negative qualifier (LEAST accurate)

Q47.

Reading 104 | LO 104.c

Which of the following is a stated reason why central banks should limit balance sheet expansion? Limiting the balance sheet will:

(a) Maintain flexibility to deal with future crisis periods.
(b) Increase federal budget reliance on transfers from the central bank.
(c) Shorten the duration of outstanding federal debt.
(d) Increase the central bank's footprint on the economy.

ANSWER: (a)

CONCEPT TESTED: the three reasons for a small balance sheet. Intuition: keep the fire hose coiled so it is available for the real fire; also stay out of the private lenders' way and off the government's payroll. Note the duration point: central bank buying at the long end SHORTENS outstanding federal debt duration, so LIMITING purchases lengthens it.

SOLUTION: (a) is correct. Preserving flexibility to temporarily expand during future crises is one of the three stated reasons, alongside limiting the central bank footprint and reducing budget reliance on transfers.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Limiting the balance sheet REDUCES federal budget reliance on central bank transfers.
(c) Incorrect. Balance sheet EXPANSION shortened public debt duration; limiting it lengthens duration.

(d) Incorrect. Limiting the balance sheet LIMITS the footprint and avoids crowding out private lenders.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 104, Module 104.2, LO 104.c | Known GARP-style template (mirrors Schweser Module Quiz 104.2 Q2 structure) | Magnitude anchors: post-GFC AE central bank purchases 25-50% of outstanding government debt; debt service projected to approx. 6% of GDP; age-related spending +4-5% of GDP over 20 years

READING 105: REGULATING THE CRYPTO ECOSYSTEM: THE CASE OF UNBACKED CRYPTO ASSETS

Priority: IMPORTANT | 25 questions | Book 5, Study Session 15

LO 105.a Reading 105

Define and describe crypto assets, including the categories broadly used by global financial regulators to classify them.

Q48.

Reading 105 | LO 105.a

A regulator explains the technology underlying crypto assets to a policy committee. Which statement is correct?

(a) Distributed ledger technology is a sequenced and standardized record of activity, cryptographically secured on a typically decentralized network, made available simultaneously to all network participants; blockchain is its best-known form, consisting of linked blocks whose records are generally immutable.
(b) Blockchain is the general category and distributed ledger technology is one specific implementation of it.
(c) Distributed ledger records are freely editable by network participants, which is what allows transaction corrections.
(d) A ledger is called distributed because each participant receives the record at a different time as it propagates.

ANSWER: (a)

CONCEPT TESTED: the DLT and blockchain definitions and their hierarchy. Intuition: DLT is the family, blockchain is the famous member; the record is simultaneous to all participants and generally cannot be altered.

SOLUTION: (a) is correct. Definition, simultaneity, blockchain as the best-known form, and immutability all as stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Inverts the hierarchy: blockchain is a form of DLT.
(c) Incorrect. Records are generally IMMUTABLE.
(d) Incorrect. "Distributed" refers to SIMULTANEOUS availability to all participants.

TRAP:
(b) **SIBLING SWAP** (category inversion)
(c) **POLARITY FLIP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 105, Module 105.1, LO 105.a | Definition audit | Qualifier: "correct"

Q49.

Reading 105 | LO 105.a

Which justification BEST supports the argument that unbacked crypto assets are not money?

(a) They rely on distributed ledger technology, which is inherently volatile.
(b) Their value is not stable enough to support the traditional functions of money.
(c) The records of crypto assets are immutable, which makes them unsuitable as money.
(d) They are not transferable and therefore cannot serve as a medium of exchange.

ANSWER: (b)

CONCEPT TESTED: the three functions of money against unbacked crypto characteristics. Intuition: money must be a medium of exchange, a store of value, and a unit of account. High volatility and low intrinsic value, with prices set purely by supply and demand and used largely for speculation, break the store-of-value and unit-of-account legs.

SOLUTION: (b) is correct. Value instability prevents unbacked crypto from meeting all three definitions of money.

OPTION ANALYSIS:
(a) Incorrect. The volatility comes from market supply and demand, not inherently from DLT.
(b) Correct. As established in the solution above.
(c) Incorrect. Immutability relates to security and trustworthiness of records, not to monetary function.
(d) Incorrect. Unbacked crypto assets ARE transferable and could meet the medium-of-exchange definition; the failure is elsewhere.

TRAP:
(a) **ROLE MISASSIGNMENT** (cause attributed to the technology)
(c) **SIBLING SWAP**
(d) **POLARITY FLIP**

Book 5, Reading 105, Module 105.1, LO 105.a | Known GARP-style template (mirrors Schweser Module Quiz 105.1 Q1 structure) | Qualifier: "BEST supports"

Q50. Reading 105 | LO 105.a

An analyst maps the six broad crypto asset categories to their definitions. Which mapping is correct?

(a) Security tokens represent a blockchain-based ownership interest in an asset, while utility tokens represent blockchain-based rights to products or services.

(b) Utility tokens represent a blockchain-based ownership interest in an asset, while security tokens represent rights to products or services.

(c) Nonfungible tokens offer a stable price value backed by other currencies or assets.

(d) Central bank digital currencies are unbacked crypto assets issued by commercial banks.

ANSWER: (a)

CONCEPT TESTED: the six-category taxonomy. Intuition: SECURITY token = ownership stake; UTILITY token = a coupon for goods or services; NFT = rights of product ownership, unique; STABLECOIN = pegged to backing assets; CBDC = central bank digital money; unbacked = supply and demand only.

SOLUTION: (a) is correct. Ownership interest for security tokens; product or service rights for utility tokens.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps the two token definitions.
(c) Incorrect. Stable price value backed by other currencies or assets defines STABLECOINS; NFTs represent rights of product ownership.
(d) Incorrect. CBDCs are issued by CENTRAL banks as a digital form of money and are not unbacked crypto assets.

TRAP:
(b) **SIBLING SWAP** (mirror reversal)
(c) **SIBLING SWAP**
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 105, Module 105.1, LO 105.a | Category-matching audit | Confusables cluster: unbacked / NFT / security token / utility token / stablecoin / CBDC

Q51. Reading 105 | LO 105.a

Regarding the international classification of crypto assets, which statement is most accurate?

(a) There is no single internationally accepted classification, though six broad categories based on taxonomy and risks are commonly used.

(b) A single binding international classification has been adopted by all major regulators.

(c) Classification is standardized internationally for stablecoins but not for other categories.

(d) Categories are based solely on market capitalization rather than taxonomy and risk.

ANSWER: (a)

CONCEPT TESTED: the state of classification consensus. Intuition: regulators agree roughly on the SHAPE of the map (six categories by taxonomy and risk) but have not signed one common map.

SOLUTION: (a) is correct. No single accepted classification, but six broad taxonomy-and-risk categories are used.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Directly contradicts the absence of a single accepted classification.
(c) Incorrect. Invents a carve-out of standardization for one category.
(d) Incorrect. Categories rest on taxonomy and risks, not market capitalization.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **SCOPE/CONDITION ERROR**
(d) **WRONG INPUT TWIN**

Book 5, Reading 105, Module 105.1, LO 105.a | Four-statement audit | Qualifier: "most accurate"

Q52. Reading 105 | LO 105.a

Which characterization of unbacked crypto assets is most consistent with the reading?

(a) Their value is determined through supply and demand, they typically exhibit high volatility and low intrinsic value, and they are often used for speculative activities.

(b) Their value is anchored to a reserve of fiat currency held by the issuer.

(c) They exhibit low volatility because immutable records prevent price manipulation.

(d) They have high intrinsic value derived from the computing resources used to create them.

ANSWER: (a)

CONCEPT TESTED: the unbacked asset profile. Intuition: nothing underneath means price is pure sentiment: volatile, low intrinsic value, speculative.

SOLUTION: (a) is correct. Supply-and-demand pricing, high volatility, low intrinsic value, speculative use.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.

(b) Incorrect. Reserve backing defines STABLECOINS, the opposite category.
(c) Incorrect. Volatility is HIGH, and immutability concerns record integrity, not price stability.
(d) Incorrect. Intrinsic value is LOW; a mining-cost value theory is not the stated basis.

TRAP:
(b) **SIBLING SWAP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 105, Module 105.1, LO 105.a | Four-statement audit | Qualifier: "most consistent"

LO 105.b Reading 105

Evaluate the key components within the crypto ecosystem, the potential risks generated by these components, and potential regulatory responses to address those risks.

Q53.

Reading 105 | LO 105.b

Which rationale BEST explains why regulating crypto asset issuers presents a challenge for authorities?

(a) Crypto asset issuers often operate in jurisdictions with no existing crypto regulations.
(b) The high volatility of unbacked crypto assets makes them inherently risky investments.
(c) The decentralized nature of unbacked crypto issuance complicates regulatory monitoring and enforcement.
(d) The technology underlying crypto assets is too complex for current regulatory frameworks to address.

ANSWER: (c)

CONCEPT TESTED: the core issuer-regulation obstacle. Intuition: decentralization buys anonymity, liquidity, and open access, and those same properties leave regulators without an identifiable party to supervise; disclosure is thin and even the asset's purpose or technology can be hard to determine.

SOLUTION: (c) is correct. Decentralized issuance creates risks that are difficult to address, monitor, and enforce.

OPTION ANALYSIS:
(a) Incorrect. Absent regulation creates OPPORTUNITIES for oversight to be established rather than hindering it.
(b) Incorrect. Many regulated entities are highly volatile; volatility alone does not block oversight.
(c) Correct. As established in the solution above.
(d) Incorrect. Many regulated entities use complex technologies; complexity alone is not the barrier.

TRAP:
(a) **POLARITY FLIP**
(b) **SCOPE/CONDITION ERROR**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 105, Module 105.1, LO 105.b | Known GARP-style template (mirrors Schweser Module Quiz 105.1 Q2 structure) | Qualifier: "BEST explains"

Q54.

Reading 105 | LO 105.b

An analyst maps crypto issuance and distribution methods to their risks. Which statement is correct?

(a) Pre-mining involves a batch sale of tokens ahead of public distribution, usually to a small group, and together with initial coin offerings it exposes participants to price manipulation and pump-and-dump schemes.
(b) Airdrops are batch sales of tokens to a small group ahead of public distribution.
(c) Pre-mining is the continuous creation of tokens as transactions are validated.
(d) Initial coin offerings eliminate manipulation risk because they occur on public exchanges.

ANSWER: (a)

CONCEPT TESTED: issuance and distribution mechanics. Intuition: pre-mining hands an early stash to insiders (batch sale before the public), which is exactly the setup for pumping and dumping; airdrops are marketing giveaways; continuous mining is the ongoing alternative to pre-mining.

SOLUTION: (a) is correct. Pre-mining definition plus the pre-mining and ICO manipulation exposure.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Airdrops are tokens SENT to certain entities for marketing purposes.
(c) Incorrect. That describes CONTINUOUS mining.
(d) Incorrect. ICOs are named as an exposure to price manipulation and pump-and-dump schemes.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **POLARITY FLIP**

Book 5, Reading 105, Module 105.1, LO 105.b | Category-matching audit | Distribution set: pre-token sale, ICOs, mining, airdrops, forks

Q55.

Reading 105 | LO 105.b

The main regulatory approach to mitigate risks associated with crypto asset exchanges, as outlined by IOSCO, involves:

(a) Requiring exchanges to perform suitability tests of exchange participants.

(b) Developing a single global regulatory framework that all exchanges must follow identically.
(c) Requiring the use of cold wallets by all exchanges to protect against cyber threats.
(d) Focusing on prudent governance, regulated access, robust controls, strengthened market integrity, and improved transparency.

ANSWER: (d)

CONCEPT TESTED: the IOSCO exchange framework and its boundaries. Intuition: the framework governs the PLATFORM (governance, access, controls, integrity, transparency, AML/CFT, product criteria, conflicts, off-chain transactions), not the individual user's suitability, and it does not mandate a specific storage technology.

SOLUTION: (d) is correct. Those are the IOSCO framework's core regulatory requirements.

OPTION ANALYSIS:
(a) Incorrect. Suitability tests belong to the ISSUER framework, assessing whether an asset is appropriate for retail users; the exchange framework does not contemplate participant suitability tests.
(b) Incorrect. Variability across jurisdictions would still be needed to reflect differing prudential approaches and local exchange size.
(c) Incorrect. Cold wallet advantages are highlighted, but no requirement is imposed.
(d) Correct. As established in the solution above.

TRAP:
(a) **ROLE MISASSIGNMENT**
(b) **ABSOLUTE-CLAIM TRAP**
(c) **SCOPE/CONDITION ERROR** (advantage promoted to mandate)

Book 5, Reading 105, Module 105.1, LO 105.b | Known GARP-style template (mirrors Schweser Module Quiz 105.1 Q3 structure) | Confusables: issuer framework (suitability, white papers, marketing) vs exchange framework (IOSCO governance set)

Q56.

Reading 105 | LO 105.b

A supervisor compares hot and cold wallets and custody arrangements. Which statement is correct?

(a) Cold wallets are stored offline and are preferred by most users and exchanges for long-term storage, protecting against cyber risks but remaining susceptible to physical loss, damage, and in rare cases theft; hot wallets enable faster transactions but face cyberattack risk, especially where third parties store many users' private keys.
(b) Hot wallets are stored offline and preferred for long-term storage, while cold wallets are online and used for fast transactions.
(c) Custodial wallets eliminate all risk of loss because a professional third party holds the keys.
(d) Losing a wallet does not affect asset access, since private keys can be reissued by the network.

ANSWER: (a)

CONCEPT TESTED: the hot/cold and self/custodial wallet matrix. Intuition: COLD equals offline equals safe from hackers but vulnerable to fire, flood, and theft of the physical object; HOT equals online equals fast but a honeypot, especially when one provider holds thousands of keys.

SOLUTION: (a) is correct. Both wallet types with their correct storage mode, use case, and risk profile.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps hot and cold entirely.
(c) Incorrect. Custodial wallets REDUCE the risk of loss but introduce cyberattack risk and loss of control over the assets.
(d) Incorrect. Losing a wallet means losing the private key and therefore the assets.

TRAP:
(b) **SIBLING SWAP** (mirror reversal)
(c) **ABSOLUTE-CLAIM TRAP**
(d) **POLARITY FLIP**

Book 5, Reading 105, Module 105.1, LO 105.b | Four-statement audit | Confusables: hot (online, fast, hackable) vs cold (offline, storage, physically vulnerable)

Q57.

Reading 105 | LO 105.b

A prudential regulator drafts requirements for wallet providers. Which requirement set is most consistent with the reading?

(a) Segregating user funds and assets from the provider's own, with reuse or lending of client assets requiring user consent; robust cyber resilience and incident reporting; secure record keeping; AML/CFT compliance; possible minimum capital and liquidity requirements; cyber insurance for a designated proportion of holdings; and effective wind-down arrangements.
(b) Commingling client and provider assets to improve operational efficiency and liquidity management.
(c) Permitting reuse and lending of client assets without consent, provided the provider maintains cyber insurance.
(d) Exempting wallet providers from AML/CFT standards, since custody is not a payment activity.

ANSWER: (a)

CONCEPT TESTED: the wallet provider regulatory checklist. Intuition: the custodian rule of thumb is my assets are not your assets; segregate them, insure them, report incidents, know your customer, and have a plan for going out of business. Note that commingling by third-party custodians is precisely what complicates bankruptcy proceedings.

SOLUTION: (a) is correct. That is the stated regulatory focus set for wallet providers.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.

(b) Incorrect. Segregation is the requirement; commingling complicates legal issues in bankruptcy.
(c) Incorrect. Reuse or lending of client assets should require USER CONSENT.
(d) Incorrect. Wallet providers should comply with AML/CFT standards.

TRAP:
(b) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR** (dropped condition)
(d) **POLARITY FLIP**

Book 5, Reading 105, Module 105.1, LO 105.b | List audit | Qualifier: "most consistent"

Q58.

Reading 105 | LO 105.b

A market integrity officer explains why crypto asset exchanges differ structurally from traditional securities exchanges. Which set of differences is correct?

(a) Crypto exchanges often allow direct access to retail users, trade from their own inventory to provide liquidity, and offer custody services.
(b) Crypto exchanges route all retail activity through licensed member brokers, as securities exchanges do.
(c) Crypto exchanges are prohibited from trading their own inventory, which is why liquidity is thin.
(d) The largest crypto exchanges are decentralized protocols, which is what fosters trust in a centralized counterparty.

ANSWER: (a)

CONCEPT TESTED: the structural distinctions and the centralization paradox. Intuition: the crypto exchange is simultaneously the marketplace, the dealer, and the vault, three jobs that traditional markets deliberately separate; and the LARGEST ones are centralized intermediaries, which builds trust but hinders decentralized innovation.

SOLUTION: (a) is correct. Direct retail access, proprietary inventory trading, and custody services are the stated differences.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Direct retail access is precisely what distinguishes them.
(c) Incorrect. They DO trade their own inventory to provide liquidity.
(d) Incorrect. The largest exchanges are CENTRALIZED intermediaries; the option's own clause about a centralized counterparty contradicts its premise.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 105, Module 105.1, LO 105.b | Four-statement audit | Qualifier: "correct"

Q59.

Reading 105 | LO 105.b

Exchanges mitigate operational and cyber risks through cyber insurance, cold wallets, and compensation funds. Which assessment of these measures is most accurate?

(a) Their effectiveness varies, given variability in the level and terms of cyber coverage, the known difficulty users face converting crypto assets to fiat currency, and the need for online connectivity to access assets held in cold wallets.
(b) These measures collectively eliminate operational and cyber risk at major exchanges.
(c) Cyber insurance is uniformly standardized across providers, making coverage reliable.
(d) Cold wallets require no online connectivity at any point, making access frictionless in stress.

ANSWER: (a)

CONCEPT TESTED: the limits of exchange risk mitigants. Intuition: each safeguard has a leak: the insurance terms vary, the compensation fund pays in an asset that is hard to convert to cash, and even offline storage needs a connection to actually move anything.

SOLUTION: (a) is correct. All three stated limitations, in a context where successful hacks have caused provider bankruptcies and user losses during stressed markets.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Effectiveness varies; elimination is not claimed.
(c) Incorrect. Variability in level and terms of coverage is the stated problem.
(d) Incorrect. Accessing cold wallet assets requires online connectivity, which is a named limitation.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 105, Module 105.1, LO 105.b | Four-statement audit | Qualifier: "most accurate"

Q60.

Reading 105 | LO 105.b

A supervisor assesses how private/permissioned and public/permissionless blockchains differ in their risk profiles. Which statement is most consistent with the reading?

(a) The closed nature of private blockchains reduces interoperability and can lead to fragmentation, concentration, and financial stability risks, while public blockchains are better protected against single points of failure but exposed to other failure risks related to user behavior.

(b) Private blockchains are better protected against single points of failure, while public blockchains suffer fragmentation from their closed nature.

(c) Cross-network interoperability is generally solved, since most crypto assets are fungible across networks.

(d) Technology-neutral regulation creates no friction with other policy objectives and never hinders innovation.

ANSWER: (a)

CONCEPT TESTED: the private-versus-public blockchain risk split and the interoperability problem. Intuition: closed gardens fragment and concentrate; open commons resist single points of failure but depend on how the crowd behaves. And most crypto assets run only on their own network and may lack fungibility even when offered on separate networks.

SOLUTION: (a) is correct. Both profiles as stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps the two profiles.
(c) Incorrect. Cross-network interoperability IS a problem, with limited fungibility across networks.
(d) Incorrect. Technology neutrality MAY create friction with other policy objectives and may hinder future innovation.

TRAP:
(b) **SIBLING SWAP** (mirror reversal)
(c) **POLARITY FLIP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 105, Module 105.1, LO 105.b | Four-statement audit | Qualifier: "most consistent"

Q61.

Reading 105 | LO 105.b

A bank supervisor distinguishes direct from indirect crypto exposure at regulated financial institutions. Which classification is correct?

(a) Indirect exposure can arise through derivatives, loans to crypto users, or extending services such as cyber insurance to wallet providers.

(b) Indirect exposure refers to a bank's own holdings of unbacked crypto assets on its balance sheet.

(c) Direct exposure arises only through loans extended to crypto asset exchanges.

(d) Broker-dealers, asset managers, and insurers are excluded from the regulated financial institution category for crypto exposure purposes.

ANSWER: (a)

CONCEPT TESTED: the direct/indirect exposure boundary. Intuition: DIRECT means the institution owns the volatile thing; INDIRECT means it owns a claim on, or sells a service to, someone who does.

SOLUTION: (a) is correct. Derivatives, loans to crypto users, and services like cyber insurance to wallet providers are the named indirect channels.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Own holdings are DIRECT exposure.
(c) Incorrect. Loans are an INDIRECT channel; direct exposure is holding the assets themselves.
(d) Incorrect. Regulated financial institutions explicitly include broker-dealers, asset managers, and insurers, whose crypto exposure has grown.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 105, Module 105.1, LO 105.b | Classification audit | Confusables: direct (own holdings) vs indirect (derivatives, loans, services)

Q62.

Reading 105 | LO 105.b

Comparing crypto market infrastructure with traditional market infrastructure, and considering the designation of a crypto asset provider as a financial market infrastructure (FMI), which statement is most accurate?

(a) In traditional markets many specialized entities each perform one function, whereas in crypto markets the same provider often performs these tasks globally, increasing and concentrating operational risk; designation as an FMI does not fully mitigate risks, because users can switch exchanges or move transactions on-chain to circumvent regulation.

(b) Designating a systemic crypto provider as an FMI fully mitigates the associated risks, which is why designation is the primary tool.

(c) Crypto markets replicate the traditional separation of record keeping, clearing, settlement, and custody across distinct specialized entities.

(d) Systemic designation for stablecoins is determined solely by the issuer's registered capital.

ANSWER: (a)

CONCEPT TESTED: function concentration and the limits of FMI designation. Intuition: traditional markets spread the jobs across many

hands; crypto stacks them in one, which concentrates the failure point. And labeling that one provider systemic does not pin the users down, since they can walk to another exchange or go on-chain.

SOLUTION: (a) is correct. Function concentration plus the circumvention limits of designation, which is why close supervision and oversight remain paramount.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Designation alone does NOT fully mitigate risks.
(c) Incorrect. That is the TRADITIONAL structure; crypto concentrates the functions.
(d) Incorrect. Stablecoin designation factors are number of users, transaction volume, risk profile, and interconnectedness with the broader financial system.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **SIBLING SWAP**
(d) **WRONG INPUT TWIN**

Book 5, Reading 105, Module 105.1, LO 105.b | Four-statement audit | Qualifier: "most accurate"

LO 105.c Reading 105

Identify and describe some of the global approaches to the regulation of unbacked crypto assets, including the BCBS' proposed treatment of banks' exposures to crypto assets.

Q63.

Reading 105 | LO 105.c

A general ban on crypto assets would likely be:

(a) Effective in the long run only.
(b) Effective in the short run only.
(c) Effective in both the short and long runs.
(d) Ineffective in both the short and long runs.

ANSWER: (d)

CONCEPT TESTED: the blanket-ban verdict and its reasoning. Intuition: a ban you cannot enforce is not a ban. Users trade on unregulated exchanges to bypass sanctions and capital flow restrictions, providers relocate to lighter jurisdictions, and VPNs hide locations. The recommended alternative is targeted restriction: for example, restricting crypto derivatives (Japan, UK) or restricting crypto as payment for goods and services, which can work in the SHORT run.

SOLUTION: (d) is correct. (a) general ban is likely ineffective in both horizons because monitoring and enforcement are difficult.

OPTION ANALYSIS:
(a) Incorrect. Enforcement difficulty does not resolve with time; the reading rejects effectiveness in both horizons.
(b) Incorrect. Short-run effectiveness belongs to TARGETED restrictions, not to a general ban; this is the classic near-neighbor swap.
(c) Incorrect. Contradicts the ineffectiveness finding entirely.
(d) Correct. As established in the solution above.

TRAP:
(a) **SCOPE/CONDITION ERROR**
(b) **SIBLING SWAP**
(c) **POLARITY FLIP**

Book 5, Reading 105, Module 105.2, LO 105.c | Known GARP-style template (mirrors Schweser Module Quiz 105.2 Q1 structure) | Confusables: general ban (ineffective) vs targeted restriction (possibly effective short run)

Q64.

Reading 105 | LO 105.c

An analyst maps national regulatory approaches to jurisdictions. Which mapping is correct?

(a) Switzerland has more progressive crypto regulation than most jurisdictions, with work on initial token offering guidelines, token trading rules, asset segregation, and enabling ledger-based securities on a blockchain.
(b) Nigeria's central bank has recognized crypto assets as legal tender and encouraged regulated financial institutions to facilitate crypto payments.
(c) The European Union's regulation focuses primarily on operational risk, cyber risk, audit, and capital requirements for crypto asset providers.
(d) The United Kingdom's initial guidance regulated utility and exchange tokens while excluding security tokens.

ANSWER: (a)

CONCEPT TESTED: the jurisdiction-to-approach map. Intuition: Switzerland progressive; EU focused on stablecoins, onshoring, and licensing of issuers; UK started with security tokens and later broadened to stablecoins, market infrastructure, and cryptocurrencies; Albania on licensing and supervision of service providers, legalizing crypto for trading in 2020; Nigeria restrictive; Japan bespoke on provider operations plus stablecoins since 2020.

SOLUTION: (a) is correct. Switzerland's progressive posture and its four named workstreams.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Nigeria's central bank deems crypto assets NOT legal tender and PROHIBITS regulated institutions from dealing in or

facilitating crypto payments.
(c) Incorrect. Operational risk, cyber risk, audit, and capital requirements describe JAPAN's bespoke provider regulation; the EU focuses on stablecoins, onshoring, and licensing of issuing entities.
(d) Incorrect. UK initial guidance regulated SECURITY tokens but not utility and exchange tokens; the option inverts it.

TRAP:
(b) **POLARITY FLIP**
(c) **ROLE MISASSIGNMENT** (jurisdiction swap)
(d) **POLARITY FLIP**

Book 5, Reading 105, Module 105.2, LO 105.c | Case-style jurisdiction mapping (5B.6) | Confusables: EU (stablecoins, licensing) vs Japan (operational, capital) vs Switzerland (progressive) vs Nigeria (restrictive)

Q65.

Reading 105 | LO 105.c

Under the BCBS proposal for banks' crypto asset exposures, which treatment is correct?

(a) Lower-risk assets include tokenized assets and stablecoins, with tokenized assets carrying risk weights similar to traditional assets and stablecoins potentially benefiting from lower risk weighting; higher-risk assets, including cryptocurrencies and unbacked crypto assets, face more conservative treatment, with a proposed 1,250% risk weight on maximum long and short positions.
(b) Unbacked crypto assets fall in the lower-risk category, with a proposed 125% risk weight.
(c) Stablecoins face the 1,250% risk weight, while unbacked crypto assets receive weights similar to traditional assets.
(d) The proposal applies a single uniform risk weight to all crypto asset holdings regardless of category.

ANSWER: (a)

CONCEPT TESTED: the BCBS two-bucket treatment and the headline risk weight. Intuition: assets with something real behind them (tokenized assets, stablecoins) sit in the mild bucket; assets with nothing behind them get the punitive 1,250% weight, applied to the MAXIMUM of long and short positions.

SOLUTION: (a) is correct. Both buckets and the 1,250% proposal as stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Unbacked crypto is HIGHER risk, and 125% is an order-of-magnitude slip from 1,250%.
(c) Incorrect. Swaps the two categories' treatments.
(d) Incorrect. The proposal is explicitly two-tiered.

TRAP:
(b) **SIBLING SWAP** + **CALCULATION-SLIP**
(c) **SIBLING SWAP** (mirror reversal)
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 105, Module 105.2, LO 105.c | Magnitude anchor: 1,250% risk weight, max long and short positions

Q66.

Reading 105 | LO 105.c

A policy adviser explains why strict national crypto rules are frequently circumvented in practice. Which explanation is most consistent with the reading?

(a) Trading on unregulated exchanges can bypass sanctions and capital flow restrictions, providers can shift services to less regulated jurisdictions, and VPNs can obscure locations; Egypt and Nigeria have strict restrictions yet widespread activity, and mining evidence persists in China despite a trading ban since 2021.
(b) Circumvention occurs only where no crypto regulation exists at all.
(c) Strict jurisdictions have eliminated crypto activity, which is why enforcement resources are no longer needed.
(d) VPN use is irrelevant, since blockchain transactions reveal participants' physical locations.

ANSWER: (a)

CONCEPT TESTED: the enforcement gap. Intuition: rules on paper do not equal rules in force; when monitoring and enforcement lack resources, the activity simply routes around the rule.

SOLUTION: (a) is correct. All three circumvention routes plus the Egypt, Nigeria, and China evidence.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Bypassing is often successful even where stringent regulation exists, when enforcement is weak.
(c) Incorrect. Contradicts the documented persistence of activity in restrictive jurisdictions.
(d) Incorrect. VPNs are named as a location-obscuring tool.

TRAP:
(b) **SCOPE/CONDITION ERROR**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 105, Module 105.2, LO 105.c | Four-statement audit | Qualifier: "most consistent"

Q67.

Reading 105 | LO 105.c

International bodies including the IMF and BCBS have advocated a particular focus for crypto regulation. Which focus is most consistent with their position?

(a) Regulation should focus primarily on the economic functions of crypto assets and their technical design, with stronger international cooperation among authorities.
(b) Regulation should focus on prohibiting all crypto activities to eliminate systemic risk.
(c) Regulation should be left entirely to national authorities, since international cooperation adds no value.
(d) Regulation should classify assets by market capitalization rather than by function or design.

ANSWER: (a)

CONCEPT TESTED: the recommended regulatory lens. Intuition: regulate what the thing DOES and HOW IT IS BUILT, not what it is called, and coordinate across borders because the activity is borderless.

SOLUTION: (a) is correct. Economic function plus technical design, with stronger international cooperation.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. (a) blanket ban is judged likely ineffective and innovation-hindering.
(c) Incorrect. Stronger international cooperation is exactly what these bodies call for.
(d) Incorrect. Market capitalization is not the recommended basis.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **WRONG INPUT TWIN**

Book 5, Reading 105, Module 105.2, LO 105.c | Four-statement audit | Qualifier: "most consistent"

LO 105.d Reading 105

Examine the considerations and steps introduced by the Bali Fintech Agenda (BFA) for developing a regulatory framework for crypto assets.

Q68.

Reading 105 | LO 105.d

A regulator introduces the Bali Fintech Agenda (BFA) to her team. Which description is correct?

(a) The BFA is a global regulatory and supervisory framework for regulators, jointly developed by the IMF and the World Bank, setting standards for addressing fintech risks related to crypto assets and technologies, and encouraging regulators to ensure legal certainty to build investor confidence.
(b) The BFA is a binding treaty developed by the BCBS that sets bank capital requirements for crypto exposures.
(c) The BFA is an IOSCO framework governing crypto asset trading platforms.
(d) The BFA discourages legal certainty measures in order to preserve regulatory flexibility.

ANSWER: (a)

CONCEPT TESTED: BFA identity and sponsorship, held apart from the other named frameworks. Intuition: three bodies, three products. IMF plus World Bank equals the BFA (broad fintech regulatory design); BCBS equals bank capital treatment and the 1,250% weight; IOSCO equals the crypto platform framework.

SOLUTION: (a) is correct. IMF and World Bank origin, standards for fintech and crypto risks, and the legal certainty emphasis, which matters because investors lack sufficient rights in many jurisdictions.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Attributes the BFA to the BCBS and confuses it with the bank exposure proposal.
(c) Incorrect. The platform framework is IOSCO's.
(d) Incorrect. The BFA ENCOURAGES legal certainty to build investor confidence.

TRAP:
(b) **ROLE MISASSIGNMENT**
(c) **ROLE MISASSIGNMENT**
(d) **POLARITY FLIP**

Book 5, Reading 105, Module 105.2, LO 105.d | Attribution audit | Confusables: BFA (IMF/World Bank) vs BCBS proposal vs IOSCO framework, differs by: WHO issued it and WHAT it governs

Q69.

Reading 105 | LO 105.d

A small jurisdiction with an undeveloped crypto market asks how to allocate scarce supervisory resources under the BFA. Which approach is most consistent with the framework?

(a) Devote limited resources initially while monitoring new developments and assessing whether more resources are needed later.
(b) Build a full-scope supervisory regime immediately, since cost and feasibility are not BFA considerations.
(c) Allocate resources equally across all jurisdictions regardless of market size, to ensure consistency.
(d) Cease monitoring entirely until the market becomes systemically important.

ANSWER: (a)

CONCEPT TESTED: the resource prioritization consideration. Intuition: regulators have finite staff; spend where the risk actually lives, but keep a watchman posted so you notice when it moves.

SOLUTION: (a) is correct. Limited initial resources with continued monitoring and reassessment is the stated approach for small or

undeveloped markets.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Cost and feasibility ARE explicit BFA considerations.
(c) Incorrect. Equal allocation contradicts prioritization by market significance.
(d) Incorrect. Monitoring is itself a core BFA consideration and continues even in small markets.

TRAP:
(b) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR**
(d) **POLARITY FLIP**

Book 5, Reading 105, Module 105.2, LO 105.d | Four-statement audit | Qualifier: "most consistent"

Q70.

Reading 105 | LO 105.d

Under the BFA's SCOPE consideration, which jurisdictions warrant the greatest regulatory focus, and what should regulation emphasize where crypto use remains niche?

(a) Greatest focus where unbacked crypto assets and stablecoins are supported by centralized entities such as regulated financial institutions, exchanges, and wallets, to limit contagion and systemic risk; where use is niche, such as NFTs and utility tokens, systemic risk is limited and regulation should emphasize user education and consumer warnings.

(b) Greatest focus where crypto use is niche, since early intervention prevents future systemic risk; where centralized entities dominate, market discipline suffices.

(c) All entities with key crypto functions should be exempt from regulation to avoid stifling innovation.

(d) In markets where trading is mainly speculative, such as the UK, only the central bank may regulate; consumer protection agencies have no role.

ANSWER: (a)

CONCEPT TESTED: the scope consideration, including who regulates speculative retail markets. Intuition: follow the systemic risk. Where centralized, regulated institutions carry the exposure, contagion is real, so regulate hard; where it is a hobbyist market, teach and warn. Where trading is mainly speculative, as in the UK, consumer protection agencies may be the better-fitted regulator.

SOLUTION: (a) is correct. Centralized-entity jurisdictions get the focus; niche markets get education and warnings.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Inverts the prioritization.
(c) Incorrect. In general, ALL entities with key crypto functions should be regulated.
(d) Incorrect. Speculative markets can be better addressed by other entities such as consumer protection agencies; the option excludes exactly the body the reading names.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 105, Module 105.2, LO 105.d | Four-statement audit | Qualifier: "greatest regulatory focus"

Q71.

Reading 105 | LO 105.d

Under the BFA's CONTINUOUS RISK ASSESSMENT consideration, how should regulators handle technological neutrality?

(a) Regulators aim for technological neutrality, neither favoring nor discriminating against technologies, but because crypto technology changes quickly and materially, regulation may need to shift to consistently address the greatest risks, with tailored and customized rules for unique risks.

(b) Technological neutrality means regulation must remain fixed once written, to avoid favoring any technology.

(c) Regulators should explicitly favor distributed ledger technology over alternatives, given its liquidity benefits.

(d) All DLT networks share identical objectives, so a single uniform rule set is sufficient.

ANSWER: (a)

CONCEPT TESTED: the tension between neutrality and adaptiveness. Intuition: neutral about WHICH technology, never neutral about WHERE the risk is; DLT itself is the example, having enabled fractional trading on decentralized platforms with far greater liquidity than traditional asset markets.

SOLUTION: (a) is correct. Neutrality as the aim, with shifting, tailored regulation as risks change.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Neutrality does not mean rigidity; regulation may need to shift.
(c) Incorrect. Favoring a technology contradicts neutrality.
(d) Incorrect. DLT networks often have DIFFERENT objectives, some prioritizing speed and efficiency, others transparency.

TRAP:
(b) **SCOPE/CONDITION ERROR**
(c) **POLARITY FLIP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 105, Module 105.2, LO 105.d | Four-statement audit | Qualifier: "how should regulators handle"

Q72. Reading 105 | LO 105.d

Which pairing of BFA consideration AND its content is correct?

(a) Domestic collaboration: coordination among multiple domestic regulatory authorities tailored to specific risks, including determining responsibility for AML/CFT mandates and legal issues.

(b) Monitoring: coordination among multiple domestic authorities over AML/CFT mandates.

(c) Domestic collaboration: web searches and horizon scanning for emerging technologies using innovation offices.

(d) Prioritizing resources: determining which aspects of crypto activities fall inside the regulatory perimeter.

ANSWER: (a)

CONCEPT TESTED: the five BFA considerations and their distinct content. Intuition: MONITORING watches the market (web searches, horizon scanning, innovation offices); PRIORITIZING allocates scarce resources; SCOPE draws the perimeter; DOMESTIC COLLABORATION coordinates the agencies; CONTINUOUS RISK ASSESSMENT keeps the rules current, with cross-border cooperation.

SOLUTION: (a) is correct. Inter-agency coordination tailored to specific risks, including AML/CFT responsibility and legal issues.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Inter-agency coordination is DOMESTIC COLLABORATION, not monitoring.
(c) Incorrect. Web searches and horizon scanning belong to MONITORING.
(d) Incorrect. Perimeter definition is SCOPE, not resource prioritization.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 105, Module 105.2, LO 105.d | Category-matching audit | Confusables: the five BFA considerations

READING 107: DIGITAL RESILIENCE AND FINANCIAL STABILITY: THE QUEST FOR POLICY TOOLS

Priority: IMPORTANT | 15 questions | Book 5, Study Session 15

LO 107.a Reading 107

Describe characteristics of cyber risks and information/communication technology (ICT) risks faced by financial institutions.

Q73. Reading 107 | LO 107.a

A CISO distinguishes cyber risk from ICT risk for the operational risk committee. Which distinction is correct?

(a) Cyber risk is the loss of confidentiality, integrity, and availability of data and data systems resulting from a cyberattack; ICT risk refers to disruptions of information and communication systems that may have similar effects but do not stem from cyberattacks.

(b) ICT risk stems from cyberattacks, while cyber risk covers non-malicious system disruptions.

(c) Cyber risk and ICT risk are identical concepts and the terms are interchangeable.

(d) Cyber risk covers only the confidentiality leg of the CIA triad; ICT risk covers integrity and availability.

ANSWER: (a)

CONCEPT TESTED: the cyber-versus-ICT boundary. Intuition: the CAUSE separates them, not the effect. Malice equals cyber; a data center flooding or a power failure equals ICT. Both can break the same CIA triad.

SOLUTION: (a) is correct. Attack-driven CIA loss is cyber risk; similar disruptions without an attack are ICT risk.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps the two definitions exactly.
(c) Incorrect. The reading maintains an explicit distinction.
(d) Incorrect. Cyber risk spans the full CIA triad; splitting the triad between the two risk types is invented.

TRAP:
(b) **SIBLING SWAP** (mirror reversal)
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 107, Module 107.1, LO 107.a | Definition audit | Confusables pair: cyber risk vs ICT risk, differs by: whether a cyberattack is the cause

Q74. Reading 107 | LO 107.a

Which statement regarding cloud storage and cloud computing in the financial sector is MOST accurate?

(a) All major banks have adopted the use of multiclouds.

(b) Increased use of cloud computing by banks in recent years has decreased both cyber and ICT risks.

(c) The advance of cloud storage and computing has allowed ICT risks and cybersecurity risks to be treated independently for analytical purposes.

(d) About 50% of cloud customers have experienced a physical outage in the past three years.

ANSWER: (a)

CONCEPT TESTED: the cloud adoption facts and the risk trade. Intuition: moving to the cloud swaps one exposure for another: cyber risk DOWN (professional providers with robust controls), ICT risk UP (outages, dependency), and the two become so intertwined that they can no longer be analyzed separately. Multicloud adoption is universal among major banks but under half among asset managers and insurers.

SOLUTION: (a) is correct. All major banks use multiclouds, spreading assets so a single attack causes less damage.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Cloud adoption decreased cyber risks but INCREASED ICT risks.
(c) Incorrect. The result is a COMMINGLING of ICT and cyber risks with potential systemic impact, not independence.
(d) Incorrect. About 80%, not 50%, of cloud customers suffered at least one outage in the prior three years; roughly 20% of those outages were significant enough to noticeably disrupt operations.

TRAP:
(b) **POLARITY FLIP** (one leg reversed)
(c) **POLARITY FLIP**
(d) **WRONG INPUT TWIN** (magnitude substitution)

Book 5, Reading 107, Module 107.1, LO 107.a | Known GARP-style template (mirrors Schweser Module Quiz 107.1 Q1 structure) | Magnitude anchors: approx. 80% outage incidence, approx. 20% significant

Q75.

Reading 107 | LO 107.a

A risk officer explains why reliable estimates of cyber-related losses are generally unavailable and what this has hindered. Which statement is most consistent with the reading?

(a) Loss estimates are generally not computable due to a lack of data, which has significantly hindered the development of cyber insurance.
(b) Loss estimates are precise because incident reporting is mandatory worldwide, so cyber insurance markets are mature.
(c) The data gap has hindered cloud adoption rather than cyber insurance.
(d) Financial institutions uniformly rank cyber risk below market risk, so loss estimation has not been prioritized.

ANSWER: (a)

CONCEPT TESTED: the data gap and its consequence. Intuition: insurers cannot price what nobody can measure; no loss history means no credible premium, so the cyber insurance market stays underdeveloped.

SOLUTION: (a) is correct. Lack of data prevents reliable loss estimates and has significantly hindered cyber insurance development.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses both the data availability and the market maturity.
(c) Incorrect. Misattributes the consequence; cloud adoption is high despite significant drawbacks.
(d) Incorrect. Some financial institutions have ranked cyber risk as MORE significant than market risk.

TRAP:
(b) **POLARITY FLIP**
(c) **SIBLING SWAP**
(d) **POLARITY FLIP**

Book 5, Reading 107, Module 107.1, LO 107.a | Four-statement audit | Qualifier: "most consistent"

Q76.

Reading 107 | LO 107.a

A technology risk manager evaluates the move to multicloud architecture. Which assessment is most accurate?

(a) Multiclouds limit the damage a cyberattack can cause by spreading computing assets across multiple clouds, but this evolution introduces unintended risks such as weaker stewardship over distributed computing processes.
(b) Multiclouds eliminate concentration risk entirely and introduce no new risks.
(c) Multiclouds concentrate computing assets with a single provider, which is why they reduce cyber risk.
(d) Multicloud adoption is highest among insurance companies and lowest among major banks.

ANSWER: (a)

CONCEPT TESTED: the multicloud trade-off. Intuition: do not keep all the eggs in one basket, but carrying several baskets makes each one harder to watch. Diversification of infrastructure buys resilience and costs oversight.

SOLUTION: (a) is correct. Damage limitation through distribution, with weaker stewardship as the unintended cost.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Multiclouds address concentration risk but bring unintended additional risks.
(c) Incorrect. Multiclouds SPREAD assets across providers; concentration is what they counter.
(d) Incorrect. ALL major banks have adopted multiclouds, compared with less than half of asset management and insurance companies.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**

(c) **POLARITY FLIP**
(d) **POLARITY FLIP** (ranking inverted)

Book 5, Reading 107, Module 107.1, LO 107.a | Four-statement audit | Qualifier: "most accurate"

Q77. Reading 107 | LO 107.a

Which statement about the limits of risk transfer to cloud service providers is most consistent with the reading?

(a) Cloud computing moves some, but not all, of an organization's cyber risks to cloud service providers, because the organization's own providers and customers might not always have adequate controls.
(b) Cloud computing transfers all of an organization's cyber risk to the provider, which is the primary reason for adoption.
(c) Cloud computing transfers no cyber risk, since the organization retains full custody of its data.
(d) Climate change and rising energy costs are expected to reduce the frequency and duration of outages.

ANSWER: (a)

CONCEPT TESTED: the partial nature of risk transfer plus the outage trend. Intuition: you can outsource the servers but not the whole chain; weak links remain among your own suppliers and customers.

SOLUTION: (a) is correct. Partial transfer, limited by control weaknesses among the organization's providers and customers.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Transfer is partial, not complete.
(c) Incorrect. Some cyber risk IS transferred to the provider.
(d) Incorrect. Climate change and rising energy costs may be causing LONGER and MORE FREQUENT outages.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 107, Module 107.1, LO 107.a | Four-statement audit | Qualifier: "most consistent"

LO 107.b Reading 107

Assess the interactions between cyber and ICT risks and financial risks and explain how cyber and ICT risk events at financial institutions can lead to systemic financial risk.

Q78. Reading 107 | LO 107.b

Which statement regarding the interaction between cyber risks and financial stability is MOST accurate?

(a) Agent-based models are useful for tracing the source of systemic risks.
(b) The severity of shocks tends to be higher for data confidentiality compared to data integrity.
(c) The most important consideration is how financial risks can lead to the realization of technology risks.
(d) Contagion effects are linear, which makes the probability of key events straightforward to predict.

ANSWER: (a)

CONCEPT TESTED: the direction of the risk chain and the CIA severity ordering. Intuition: the arrow runs TECHNOLOGY to FINANCE, not the reverse. And the severity ordering is counterintuitive: leaked data is bad, but corrupted data and unavailable systems are worse, because the institution cannot operate at all.

SOLUTION: (a) is correct. Agent-based models, computer simulations of actions and interactions among agents, help trace systemic risk sources because surface appearances mislead.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Severity seems LOWER for data confidentiality and HIGHER for data integrity and data or systems availability.
(c) Incorrect. Reverses the causal direction: the key consideration is how TECHNOLOGY risks lead to the realization of FINANCIAL risks.
(d) Incorrect. Contagion effects are NONLINEAR, which is what makes prediction challenging and motivates agent-based modeling.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 107, Module 107.1, LO 107.b | Known GARP-style template (mirrors Schweser Module Quiz 107.1 Q2 structure) | Polarity-sensitive: technology leads to financial risk; confidentiality LOWER severity than integrity and availability

Q79. Reading 107 | LO 107.b

A cyber incident triggers a run on a bank's deposits, but no withdrawals occur because the bank's systems are disrupted and cannot process transactions. What does the reading conclude about this appearance?

(a) It is misleading to conclude that technology suppressed the contagion, because customers have other alternatives such as withdrawing funds held on deposit at other banks.
(b) It demonstrates that system disruption is an effective and reliable circuit breaker against bank runs.
(c) It shows that agent-based models are unnecessary, since observed outcomes speak for themselves.
(d) It confirms that cyber incidents cannot transmit into funding risk.

ANSWER: (a)

CONCEPT TESTED: why surface observation misleads and why simulation is needed. Intuition: the run did not stop, it was merely blocked at one door; the depositor simply walks to another bank's door. Measured withdrawals understate the true contagion.

SOLUTION: (a) is correct. The suppression is apparent, not real, because customers have alternatives at other banks.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Treats an accidental blockage as a deliberate, reliable policy tool.
(c) Incorrect. This example is precisely the argument FOR agent-based models.
(d) Incorrect. Cyber vulnerabilities can cause illiquidity, excessive leverage, and loss of customer trust.

TRAP:
(b) **SIBLING SWAP** (accident promoted to mechanism)
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 107, Module 107.1, LO 107.b | Scenario interpretation | Qualifier: "what does the reading conclude"

Q80.

Reading 107 | LO 107.b

A supervisor considers reliability standards for individual institutions within an interconnected digital financial system. Which statement is most consistent with the reading?

(a) Because institutions are integrated and interdependent through cloud computing, networks, and shared software, each must be reliable enough to recover quickly from a cyber incident to ensure continuity of key functions, and each must be tested for sufficient reliability, which does not necessarily mean 100% reliability.

(b) Each institution must achieve 100% reliability, since anything less threatens the system.

(c) Individual institution reliability is irrelevant because systemic outcomes depend only on the largest cloud providers.

(d) Liquidity buffers have consistently been drawn upon to absorb cyber-driven bank runs, proving their necessity.

ANSWER: (a)

CONCEPT TESTED: the reliability standard and the liquidity buffer caveat. Intuition: the standard is fast RECOVERY, not perfection; and while buffers should in theory cushion cyber-driven runs, the system has held ample liquidity for a long stretch, so they have not actually been called upon.

SOLUTION: (a) is correct. Interdependence, quick recovery, testing, and the explicit rejection of a 100% standard.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Sufficient reliability does NOT necessarily mean 100%.
(c) Incorrect. Each participating institution's reliability matters for system continuity.
(d) Incorrect. Buffers help in THEORY, but high system liquidity has meant they have not been required in practice.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **SCOPE/CONDITION ERROR**
(d) **POLARITY FLIP**

Book 5, Reading 107, Module 107.1, LO 107.b | Four-statement audit | Qualifier: "most consistent"

Q81.

Reading 107 | LO 107.b

A financial stability analyst describes the negative financial impacts that triggered cyber vulnerabilities can produce, and the speed at which contagion can travel. Which statement is most consistent with the reading?

(a) Triggered cyber vulnerabilities can cause illiquidity, excessive leverage, and loss of customer trust, and because cyber and ICT connections are highly integrated, financial contagion can occur extremely rapidly from just one key triggering event.

(b) Triggered cyber vulnerabilities affect only the attacked institution, so contagion requires multiple simultaneous triggering events.

(c) High integration of cyber and ICT connections slows contagion by providing redundant pathways.

(d) The financial impacts are confined to direct remediation costs and regulatory fines.

ANSWER: (a)

CONCEPT TESTED: the technology-to-finance impact set and contagion speed. Intuition: integration is a highway with no speed limit; one crash at a junction backs up the whole network, and the damage shows up as funding, leverage, and confidence problems rather than just an IT repair bill.

SOLUTION: (a) is correct. Illiquidity, excessive leverage, and loss of customer trust, with rapid contagion from a single triggering event.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. One key triggering event suffices for rapid industry-wide contagion.
(c) Incorrect. High integration OPENS the potential for significant contagion effects rather than slowing them.
(d) Incorrect. Narrows a set of systemic financial impacts to direct operational costs.

TRAP:

(b) **SCOPE/CONDITION ERROR**
(c) **POLARITY FLIP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 107, Module 107.1, LO 107.b | Four-statement audit | Qualifier: "most consistent"

Q82. Reading 107 | LO 107.b

A supervisor evaluates agent-based models as a tool for assessing cyber-driven systemic risk. Which assessment is most accurate?

(a) They are computer simulations of actions and interactions among agents that quantify a cyber incident's CIA effects and how those effects reach institutions' liquidity and asset values; they remain in their infancy, but their basic principles could be applied to developing cyber and ICT stress tests.
(b) They are mature, well-validated tools already embedded in regulatory stress testing regimes.
(c) They model only the technological layer and deliberately exclude liquidity and asset value effects.
(d) They are unnecessary because contagion effects are linear and can be extrapolated from historical loss data.

ANSWER: (a)

CONCEPT TESTED: what agent-based models do and their maturity. Intuition: simulate many actors deciding and reacting, then watch where the CIA damage turns into a liquidity or valuation problem. Promising, unfinished, and the natural seed for cyber stress testing.

SOLUTION: (a) is correct. Definition, the CIA-to-liquidity-and-asset-value link, infancy stage, and the stress testing application.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The models are still in their infancy stage.
(c) Incorrect. Reaching liquidity and asset values is precisely their purpose.
(d) Incorrect. Contagion effects are NONLINEAR, and reliable cyber loss data is generally unavailable.

TRAP:
(b) **POLARITY FLIP** (maturity overstated)
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 107, Module 107.1, LO 107.b | Four-statement audit | Qualifier: "most accurate"

LO 107.c Reading 107

Describe potential macroprudential tools and policy measures that can be used to address cyber risks and ICT risks and explain challenges to the adoption of each one.

Q83. Reading 107 | LO 107.c

The arrangement under which a bank suffering a serious cyberattack allows its customers to transact on their accounts at another co-owner bank, supported by consistent data formats and storage and restoration procedures, is best described as which macroprudential tool?

(a) Circuit breaker.
(b) Structural measures.
(c) Forced diversification.
(d) Cooperative arrangement.

ANSWER: (d)

CONCEPT TESTED: identifying the ICT buffer as cooperation. Intuition: rival banks agreeing to serve one another's customers in a crisis is mutual aid, not a pause button and not a structural mandate. Sheltered Harbor, LLC in the US is the named collectively owned vehicle, following the earlier tri-party repo precedent for ICT buffers.

SOLUTION: (d) is correct. ICT buffers are the stated example of cooperative arrangements, allowing much quicker recovery after a major cyberattack.

OPTION ANALYSIS:
(a) Incorrect. (a) circuit breaker is a temporary pause on normal rules and regulations, not a shared-service arrangement.
(b) Incorrect. Structural measures extend macroprudential regulation to systemically important technological institutions.
(c) Incorrect. Forced diversification pushes firms toward multiclouds or multiple software types, potentially via penalties.
(d) Correct. As established in the solution above.

TRAP:
(a) **SIBLING SWAP**
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**

Book 5, Reading 107, Module 107.1, LO 107.c | Known GARP-style template (mirrors Schweser Module Quiz 107.1 Q3 structure) | Confusables cluster: circuit breakers vs cooperative arrangements vs structural measures vs forced diversification

Q84. Reading 107 | LO 107.c

Which statement regarding the use of circuit breakers in response to major cyber incidents is MOST accurate? Circuit breakers:

(a) Have been used extensively in the banking industry throughout its history.
(b) Are used to deal with the effects of a loss of confidence by bank customers.

(c) Are a valid substitute for the controls already in place regarding bank deposits.
(d) Are a long-term pause on normal rules and regulations to allow a bank sufficient time to recover.

ANSWER: (b)

CONCEPT TESTED: the circuit breaker's purpose, duration, and relationship to existing controls, plus its central obstacle. Intuition: it is a TEMPORARY pause that SUPPLEMENTS existing deposit controls, aimed at the confidence problem and the resulting run. The challenge is proving the attack was serious enough to count as a force majeure event, since critics can argue proper controls should have prevented it.

SOLUTION: (b) is correct. Circuit breakers minimize the negative impacts of customer loss of confidence and the resulting bank run on deposits.

OPTION ANALYSIS:
(a) Incorrect. They have been used MORE in the banking industry in recent years, not extensively throughout history.
(b) Correct. As established in the solution above.
(c) Incorrect. They SUPPLEMENT existing deposit controls rather than substituting for them.
(d) Incorrect. They are a TEMPORARY pause.

TRAP:
(a) **SCOPE/CONDITION ERROR** (timeline)
(c) **SIBLING SWAP** (supplement vs substitute)
(d) **POLARITY FLIP** (duration reversed)

Book 5, Reading 107, Module 107.1, LO 107.c | Known GARP-style template (mirrors Schweser Module Quiz 107.1 Q4 structure) | Qualifier: "MOST accurate"

Q85.

Reading 107 | LO 107.c

A European supervisor reviews policy measures and micro-oriented tools for digital resilience. Which statement is correct?

(a) The EU's Digital Operational Resilience Act (DORA) contains provisions responding to ICT third-party risks associated with cloud computing and provisions dealing with penetration stress testing, that is, cyberattack simulation.
(b) DORA is a US framework governing tri-party repo ICT buffers.
(c) The European Systemic Risk Board has recommended dismantling coordinated incident reporting in favor of purely national arrangements.
(d) The International Telecommunications Union has concluded that certification and standardization are unnecessary starting points for cybersecurity defenses.

ANSWER: (a)

CONCEPT TESTED: the policy-measure attribution set. Intuition: three named actors. ITU covers the broad legal and technical measures and points to certification and standardization as the starting point; the ESRB proposed a Europe-wide structure for coordinating incident reporting; DORA covers ICT third-party cloud risk and penetration stress testing.

SOLUTION: (a) is correct. Both DORA provisions as stated, with penetration testing keeping entities continuously conscious of security issues.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. DORA is EU legislation; the tri-party repo ICT buffer precedent and Sheltered Harbor are US.
(c) Incorrect. The ESRB SUGGESTED forming a European-wide structure for coordinating incident reporting.
(d) Incorrect. Certification and standardization are described as a NECESSARY starting point given the complexity involved.

TRAP:
(b) **ROLE MISASSIGNMENT** (jurisdiction swap)
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 107, Module 107.1, LO 107.c | Attribution audit | Confusables: ITU vs ESRB vs DORA vs Sheltered Harbor, differs by: WHO and WHERE

Q86.

Reading 107 | LO 107.c

A regulator considers structural measures aimed at systemically important technological institutions (SITIs). Which statement is most consistent with the reading?

(a) Macroprudential regulation has spread to SITIs given their externalities and the financial sector's dependence on them; alternatives include more thorough evaluations of critical providers, strongly encouraging multicloud services, and using private clouds, while forced diversification with penalties for concentrated software use raises enforceability issues.
(b) SITIs fall outside macroprudential regulation because they are not financial institutions.
(c) Penalties for concentrated software use are the preferred tool because enforceability is straightforward.
(d) Recent operational resilience rules are more backward-looking and prescriptive than past rules, and a principles-based approach is best suited to systemic rather than entity-level risk.

ANSWER: (a)

CONCEPT TESTED: structural measures plus the principles-based caveat. Intuition: the tech providers became too important to ignore, so regulation followed them; the softer alternatives are evaluation and encouragement, and the harder tool, penalizing concentration, runs into the question of who enforces it and how. Separately, note that principles-based rules suit the SINGLE ENTITY better than the SYSTEM.

SOLUTION: (a) is correct. SITI coverage, the three alternatives, and the enforceability problem with penalties.

OPTION ANALYSIS:

(a) Correct. As established in the solution above.
(b) Incorrect. Regulation has inevitably spread to SITIs.
(c) Incorrect. Penalties introduce the issue of enforceability; they are not the straightforward preferred tool.
(d) Incorrect. Recent rules are more FORWARD-looking and PRINCIPLES-based, and a principles-based approach is more useful for a GIVEN ENTITY's risk than for systemic risk involving multiple entities.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP** (both clauses reversed)

Book 5, Reading 107, Module 107.1, LO 107.c | Four-statement audit | Qualifier: "most consistent"

Q87.

Reading 107 | LO 107.c

A bank seeks to invoke a circuit breaker following a severe cyberattack. What is the principal challenge it faces, and what is the counterargument raised against it?

(a) The bank must prove the attack was sufficiently serious to constitute a force majeure event; the counterargument is that proper cyber controls and other preventative measures could have avoided the negative effects, so it is not force majeure.
(b) The bank must prove the attack originated outside its home jurisdiction; the counterargument is that cross-border attribution is impossible.
(c) The bank must demonstrate that a deposit run has already occurred; the counterargument is that circuit breakers cannot be applied preemptively.
(d) There is no meaningful challenge, since supervisors grant circuit breakers automatically after any confirmed cyberattack.

ANSWER: (a)

CONCEPT TESTED: the force majeure hurdle. Intuition: the pause is granted only for events beyond the bank's control, and the obvious retort is that a well-defended bank would not have been breached, which makes the attack a control failure rather than an act of God.

SOLUTION: (a) is correct. The force majeure proof burden and the preventative-controls counterargument, set against the compelling case that circuit breakers control and minimize the effects of a potential post-attack bank run.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Jurisdiction of origin is not the stated test.
(c) Incorrect. Circuit breakers are aimed at minimizing the negative impacts of a loss of confidence and the RESULTING run, which implies use before the run runs its course.
(d) Incorrect. Denies the stated proof challenge entirely.

TRAP:
(b) **SIBLING SWAP** (fabricated criterion)
(c) **POLARITY FLIP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 107, Module 107.1, LO 107.c | Four-statement audit | Qualifier: "principal challenge"

LEARNING OBJECTIVE COVERAGE MAP

Learning objective	Reading priority	Questions	Range
LO 103.a	IMPORTANT	5	Q1 to Q5
LO 103.b	IMPORTANT	5	Q6 to Q10
LO 103.c	IMPORTANT	7	Q11 to Q17
LO 103.d	IMPORTANT	5	Q18 to Q22
LO 103.e	IMPORTANT	5	Q23 to Q27
LO 103.f	IMPORTANT	5	Q28 to Q32
LO 104.a	IMPORTANT	5	Q33 to Q37
LO 104.b	IMPORTANT	5	Q38 to Q42
LO 104.c	IMPORTANT	5	Q43 to Q47
LO 105.a	IMPORTANT	5	Q48 to Q52
LO 105.b	IMPORTANT	10	Q53 to Q62
LO 105.c	IMPORTANT	5	Q63 to Q67
LO 105.d	IMPORTANT	5	Q68 to Q72
LO 107.a	IMPORTANT	5	Q73 to Q77
LO 107.b	IMPORTANT	5	Q78 to Q82
LO 107.c	IMPORTANT	5	Q83 to Q87
TOTAL		**87**	**16 LOs, all covered**

Volume rule applied. Every Important learning objective received 5 questions, with two exceptions where content volume justified more: LO 103.c carries seven because it holds two full case studies (Russia and Ukraine, US and China trade tensions) plus the cross-border transmission mechanics, and LO 105.b carries ten because it spans all five crypto ecosystem entity types and their separate regulatory

responses. The Very Important tier (Readings 100, 101, 102, 106) is built separately at 10 questions per LO and is not included in this document.

TYPE CONFIRMATION TABLE

Reading	LO verbs	Assigned type	Confirmation
103	Identify, Analyze, Assess, Evaluate, Explain, Describe	Qualitative	Confirmed with a caveat. Several items require recall of stated event-study magnitudes and multipliers (0.3 percent, 3 percent, 9 percent, 2.5x, 7x, 20x, 180 bps, 40 bps, 100 bps, 120 bps). These are memory anchors, not calculations, and are treated as such. No arithmetic is demanded anywhere in the reading.
104	Compare, Describe	Qualitative	Confirmed. Channel mapping, two-phase historical narrative, policy interaction logic, and the region of stability. Magnitude anchors (25 to 50 percent central bank holdings, 6 percent of GDP debt service, 4 to 5 percent of GDP age-related spending) appear only in reference notes, never as the demand of a stem.
105	Define, Describe, Evaluate, Identify, Examine	Non-Numerical / Qualitative	Confirmed. Taxonomy, ecosystem entity risks, jurisdictional approaches, and BFA framework considerations. The single numeric item (BCBS 1,250 percent risk weight on maximum long and short positions) is a recall anchor, not a computation.
107	Describe, Assess	Qualitative	Confirmed. Risk definitions, contagion mechanics, and macroprudential tool discrimination. Two magnitude anchors (approximately 80 percent outage incidence, approximately 20 percent significant) are recall items. Zero calculation demand.

Set Aside section: empty across all four readings. No question in this bank demands a computed answer under a non-numerical or qualitative LO, so no type-misfit items arose. Recorded so the absence is deliberate rather than an oversight.

TRAP OPERATOR INDEX

Operator	Count	Questions
POLARITY FLIP	65	Q3, Q4, Q6, Q7, Q9, Q10, Q11, Q12, Q14, Q15, Q19, Q20, Q21, Q22, Q23, Q24, Q25, Q26, Q27, Q28, Q29, Q30, Q31, Q32, Q34, Q35, Q36, Q38, Q39, Q40, Q41, Q42, Q44, Q47, Q48, Q49, Q52, Q53, Q54, Q56 and 25 more
SIBLING SWAP	40	Q1, Q2, Q8, Q13, Q16, Q18, Q20, Q21, Q24, Q25, Q26, Q27, Q29, Q31, Q33, Q37, Q38, Q40, Q41, Q43, Q44, Q45, Q48, Q49, Q50, Q52, Q54, Q56, Q60, Q61, Q62, Q63, Q65, Q72, Q73, Q75, Q79, Q83, Q84, Q87
ROLE MISASSIGNMENT	9	Q32, Q33, Q49, Q50, Q55, Q64, Q68, Q70, Q85
SCOPE/CONDITION ERROR	28	Q3, Q4, Q5, Q7, Q12, Q13, Q14, Q15, Q16, Q22, Q27, Q28, Q33, Q35, Q48, Q51, Q53, Q55, Q57, Q61, Q63, Q66, Q69, Q71, Q73, Q80, Q81, Q84
ABSOLUTE-CLAIM TRAP	28	Q3, Q6, Q9, Q14, Q17, Q18, Q19, Q23, Q24, Q30, Q31, Q32, Q36, Q37, Q41, Q51, Q55, Q56, Q59, Q60, Q62, Q65, Q71, Q73, Q76, Q77, Q80, Q87
WRONG INPUT TWIN	11	Q8, Q11, Q13, Q17, Q18, Q21, Q44, Q51, Q62, Q67, Q74
QUALIFIER-MISREAD BAIT	1	Q46
CALCULATION-SLIP	3	Q11, Q30, Q65
INTERMEDIATE-RESULT TRAP	1	Q16

Format mix. Positive qualifiers dominate (most appropriate, most likely, most accurate, most consistent, best describes, correct to include), matching the observed GARP distribution. Negative and superlative qualifiers are used sparingly, as GARP does. Compound formats appear throughout: two-part conjunction options where both halves must be right, and choice-matrix items where each row fills multiple columns. Ranking items are built so a conceptual shortcut decides the answer rather than brute-force comparison. Known GARP-style templates are flagged in the reference line of the items that reproduce them with perturbed content.

HIGH-FREQUENCY CONFUSABLES FROM THIS BANK

Concept	Sibling	Differs by
Economic channel	Market sentiment channel	Real disruption to trade, capital flows, production versus uncertainty and risk aversion alone
Country-specific shock (0.3 percent)	Major event study (3 percent, severe 9 percent)	Which statistic the stem invokes
Proximity multiplier (2.5x)	Regional (7x) and global (20x)	Scope and severity of the shock
EM CDS response (180 bps)	AE CDS response (40 bps)	Economy type; conditional figures are 100 bps low reserves, 120 bps weak institutions
Downside protection (puts)	Tail protection (deep OTM puts)	Moneyness; tail premiums rose the most
Ukraine invasion spillover	US-China tariff spillover	Broad exposure-linked spread versus contained bilateral
Phase 1 (1960s to mid-1980s)	Phase 2 (mid-1980s to pandemic)	Inflation and high rates versus liberalization, low rates, financial imbalances
Fiscal dominance	Countercyclical policy	Monetary policy constrained versus merely working in the opposite direction
Interest-growth differential	Yield curve slope	Policy rate minus GDP growth versus long minus short yields

Security token	Utility token	Ownership interest in an asset versus rights to products or services
Hot wallet	Cold wallet	Online, fast, hackable versus offline, storage, physically vulnerable
Direct exposure	Indirect exposure	Own holdings versus derivatives, loans, and services to crypto firms
General ban (ineffective both horizons)	Targeted restriction (possibly effective short run)	Breadth of the prohibition
Issuer framework (suitability, white papers)	IOSCO exchange framework (governance set)	Which entity the rules govern
BFA (IMF and World Bank)	BCBS proposal / IOSCO framework	WHO issued it and WHAT it governs
Cyber risk	ICT risk	Whether a cyberattack is the cause
Circuit breaker	Cooperative arrangement (ICT buffer)	Temporary pause on rules versus shared service across co-owner banks
Structural measures	Forced diversification	Regulating SITIs directly versus incentivizing multicloud or multi-software use

Clearance rule. A confusable is cleared only after two consecutive correct closed-book discriminations. Reading an explanation does not clear it.